Block practice · Demand, supply, equilibrium and the labour market

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Demand, supply and movements along the curves

Equilibrium, excess demand and excess supply

Excess demand and excess supply

Supply of labour: what changes the workforce

What shifts the demand curve

What shifts the supply curve

Draw a demand or supply shift and new equilibrium

Draw a shift in a labour market diagram

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Practice workbook · Demand, supply and movements along the curves

Definitions of demand and supply and how a change in the product's own price causes an extension or contraction along each curve.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-07

1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

P 6 6 3 2 7 A 0 7 2 4

1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

Figure 2 shows the supply of wheat in a region during 2019.

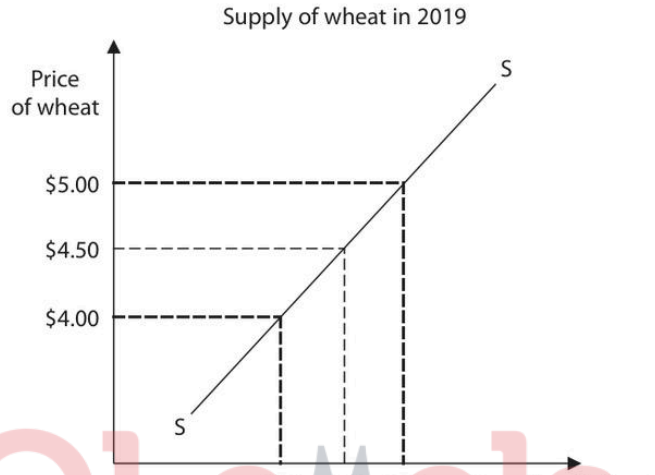


Figure 2

(g) Explain **one** effect on the supply curve of wheat following a change in the price of wheat.

(3)

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P 6 6 3 2 7 A 0 9 2 4

9

Turn over ▶

1. Question 2 · part g · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part g only.

In England, there has been an increase in the number of science, maths and modern language graduates. Some of these graduates choose to enter the teaching profession with these qualifications. Many are encouraged to do so by a government bonus payment of £9 000, only available to graduates in these subjects. However, many do not stay in the profession for more than one or two years. This is due to problems of long working hours, bureaucracy and student behaviour. Those with science qualifications often find different types of employment quite easily.

(Source adapted from: https://www.theguardian.com/education/2019/oct/05/science-and-language-teachers-to-get-9000-staying-on-bonus)

(h) With reference to the data above and your knowledge of economics, assess whether an increase in the number of people with skills and qualifications will always lead to an increase in the supply of teachers.

(9)

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10

P 6 6 3 2 7 A 0 1 0 2 4

1. Question 2 · part g · 3 marks · Working and answer

Working and answer

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2. Question 1 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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P 6 0 7 4 9 A 0 2 2 0

2. Question 1 · part c · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part c only.

(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part c · 2 marks · Working and answer

Working and answer

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3. Question 1 · part c · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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P 5 9 9 6 3 A 0 2 2 4

3. Question 1 · part c · 2 marks

2020 JAN · Paper 01

Further practice · Attempt part c only.

(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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3. Question 1 · part c · 2 marks · Working and answer

Working and answer

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4. Question 2 · part d · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

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2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

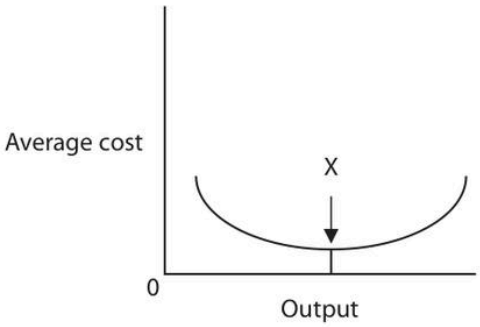


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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4. Question 2 · part d · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40250
Raw materials	20050
Advertising	10125
Labour (paid in direct proportion to output)	210000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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P 6 2 6 4 1 R A 0 1 0 2 8

4. Question 2 · part d · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part d only.

(e) Describe **one** government policy to deal with negative externalities.

(2)

Irrigation of Scottish farmland was increased during the summer of 2018.

(f) Explain **one** way an increase in irrigation may have affected the productivity of Scottish farmers during the summer of 2018.

(3)

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4. Question 2 · part d · 2 marks · Working and answer

Working and answer

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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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Figure 2 shows some of the monthly production costs for a firm which manufactures clothing.

Production costs	US$
Rent	25 000
Raw materials	12 000
Insurance	5 500
Labour (payment depends on output)	115 000

Figure 2

(d) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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(e) Define the term minimum wage.

(1)

5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(f) Describe **one** reason why infinite wants lead to scarcity.

(2)

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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 3 shows the demand for cocoa beans during 2019.

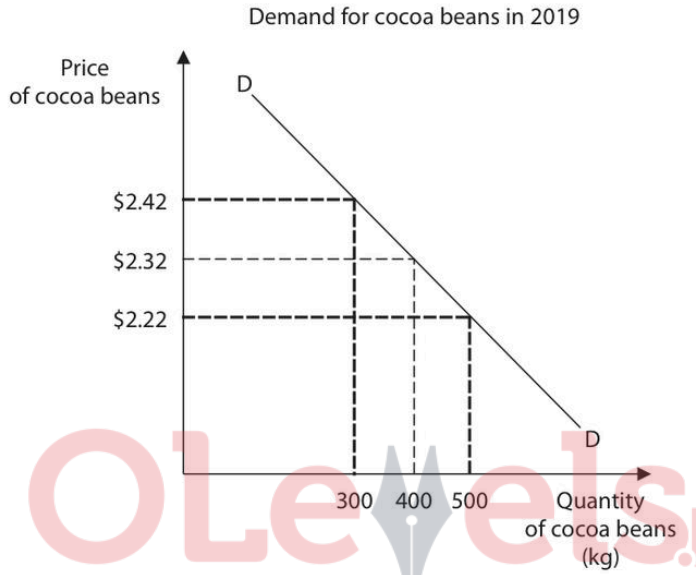


Figure 3

(g) Explain **one** effect on the demand curve for cocoa beans following a change in the price.

(3)

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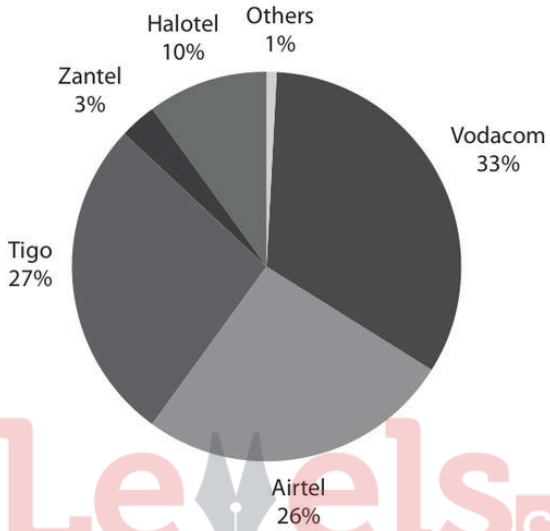
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5. Question 2 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Market share of telecom subscriptions in Tanzania (June 2019)



(Source adapted from: https://www.tanzaniainvest.com/telecoms/tanzania-add-50000-mobile-subcriptions-in-6-months)

Figure 4

In November 2019, two Tanzanian telecoms firms, Zantel and Tigo, merged. Smart Telecoms, a small firm with a declining market share, stopped trading. A spokesperson said that Smart Telecoms could no longer compete with the increasing dominance of larger firms in the market.

(h) With reference to the data above and your knowledge of economics, assess whether the oligopoly in the Tanzanian telecoms market is likely to benefit consumers.

(9)

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P 6 6 3 2 8 A 0 1 0 2 4

5. Question 2 · part g · 3 marks · Working and answer

Working and answer

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6. Question 1 · part c · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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6. Question 1 · part c · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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P 7 1 5 5 6 A 0 3 2 4

3

Turn over

6. Question 1 · part c · 2 marks · Working and answer

Working and answer

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7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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2 (a) Which **one** of the following is the formula to calculate price elasticity of supply (PES)? **(1)**

☒ **A** $\frac{\text{Percentage change in quantity demanded}}{\text{Percentage change in price}}$

☒ **B** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity demanded}}$

☒ **C** $\frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$

☒ **D** $\frac{\text{Percentage change in price}}{\text{Percentage change in quantity supplied}}$

A court in China ordered a firm to pay 10 000 Yuan because it polluted a local river.

(b) This is an example of which **one** of the following? **(1)**

☒ **A** A fine

☒ **B** A permit

☒ **C** A subsidy

☒ **D** A tax

(c) State **one** example of an external benefit. **(1)**

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P 7 4 0 5 7 A 0 7 2 4

7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Sathvinder provides a cleaning service to homeowners in a small town. She recently decreased prices by 1.2% and quantity demanded increased by 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Sathvinder's cleaning service. You are advised to show your working.

(2)

(e) Define the term entrepreneur.

(1)

(f) Describe **one** reason why water is a factor of production.

(2)

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P 7 4 0 5 7 A 0 8 2 4

7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 2 shows the supply of rice in a region during 2021.

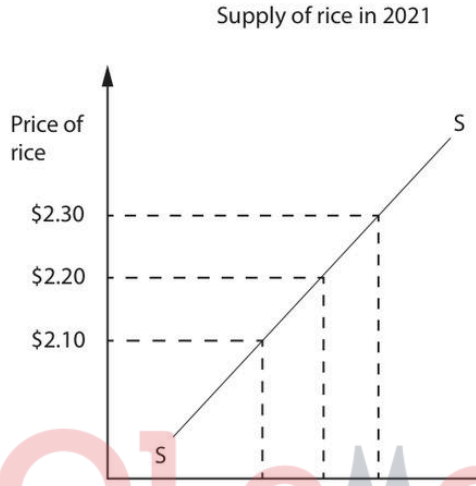


Figure 2

The equilibrium price of rice is $2.20 per kg.

(g) Explain **one** effect on the supply of rice following a change in its equilibrium price.

(3)

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7. Question 2 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Some governments have made the creation of outdoor areas or parks a priority in order to help reduce health issues, such as obesity. Studies have shown that having access to such areas encourages physical exercise that can also benefit mental wellbeing.

However, funding for such projects is not always available or the parks become too crowded. This means fewer people can benefit from these outdoor areas.

(h) With reference to the data above and your knowledge of economics, assess the benefits of the public sector providing outdoor areas or parks.

(9)

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7. Question 2 · part g · 3 marks · Working and answer

Working and answer

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8. Question 3 · part c · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) A minimum wage is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** economic assumption
- ☒ **C** economy of scale
- ☒ **D** government intervention

(b) Which **one** of the following is likely to lead to an increase in the productivity of capital?

(1)

- ☒ **A** An increase in bureaucracy
- ☒ **B** A decrease in the availability of finance
- ☒ **C** An increase in technological advances
- ☒ **D** A decrease in the size of the market

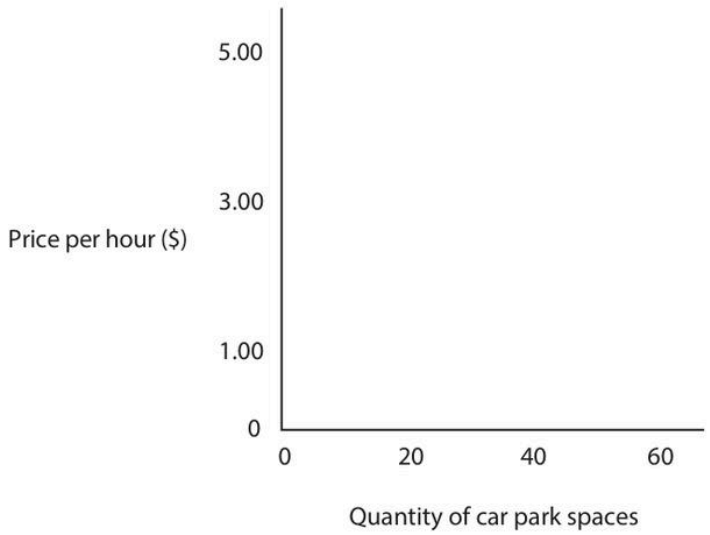
Figure 3 shows the estimated demand for car park spaces at a given price.

Price per hour ($)	1.00	3.00	5.00
Demand	60	40	20

Figure 3

(c) Using the information in Figure 3, draw and label the demand curve for car park spaces on the diagram below.

(3)



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P 7 4 0 5 7 A 0 1 2 2 4

8. Question 3 · part c · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

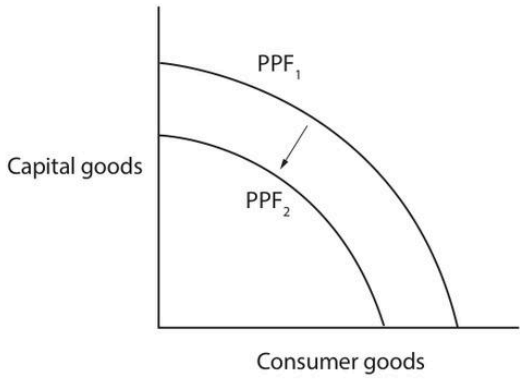


Figure 4

Figure 4 shows an inward shift in the production possibility frontier (PPF) for an economy.

(d) With reference to the data above and your knowledge of economics, analyse why the economy might have moved from PPF_1 to PPF_2. (6)

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8. Question 3 · part c · 3 marks · Working and answer

Working and answer

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9. Question 2 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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9. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Equilibrium, excess demand and excess supply

How equilibrium price and quantity are set, what excess supply and excess demand are, and how price adjusts to remove them.

9 question parts: 1 worked-example retry and 8 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-11

1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

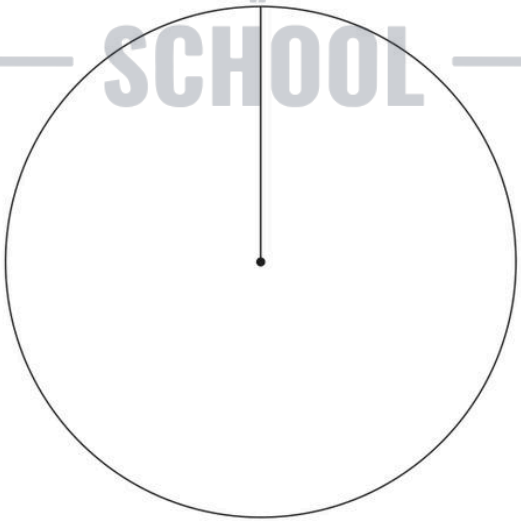


Figure 3

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1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.

In the capital of Laos, Vientiane, residents and tourists can now use the LOCA app to hire a taxi. Figure 4 shows the excess supply of LOCA drivers working in an area of the city when the price of a journey is 10 000 Kip.

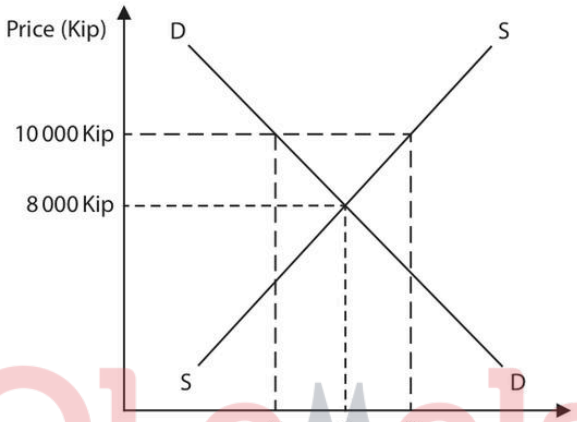


Figure 4

(d) With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply.

(6)

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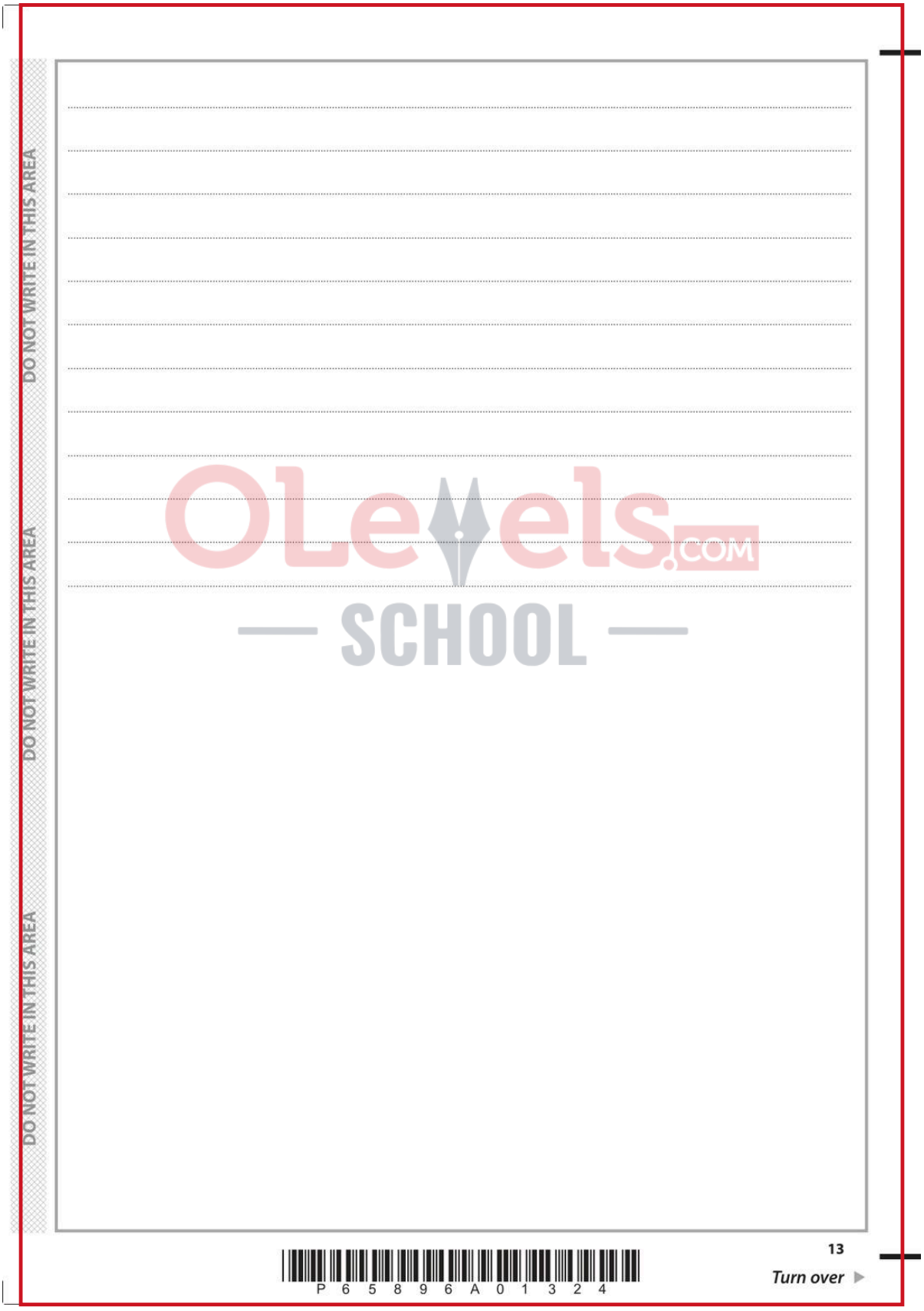
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P 6 5 8 9 6 A 0 1 2 4

1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2021 JUN · Paper 01

Worked-example retry · Attempt part d only.

Public universities in Norway do not charge students any tuition fees. Education is funded by the government. In recent years Norway has spent more on education than any other country as a percentage of GDP. Norway also has one of the lowest rates of unemployment in the world.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part a · 1 mark

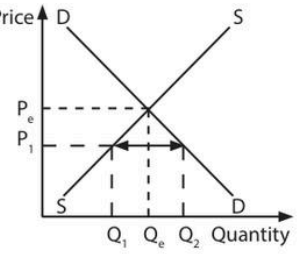
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

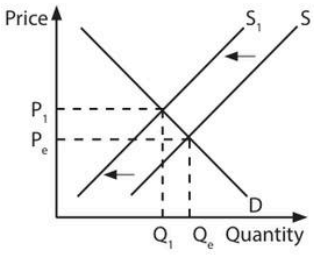
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

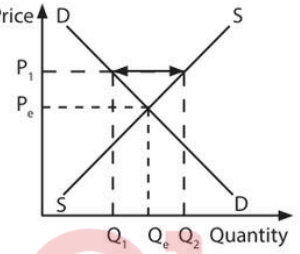
☒ **A**



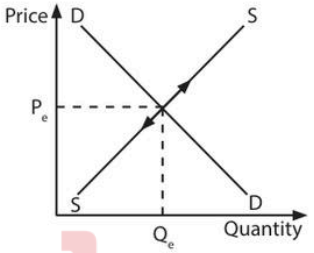
☒ **B**



☒ **C**



☒ **D**



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P 5 8 2 7 6 A 0 8 2 8

2. Question 2 · part a · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

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2. Question 2 · part a · 1 mark · Working and answer

Working and answer

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3. Question 2 · part a · 1 mark

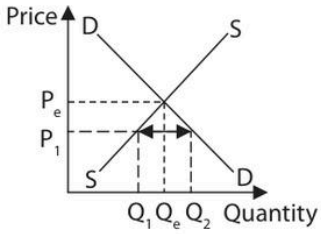
2020 JAN · Paper 01

Further practice · Attempt part a only.

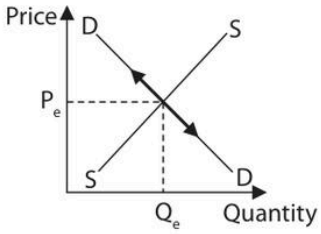
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

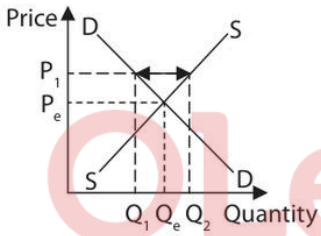
☒ **A**



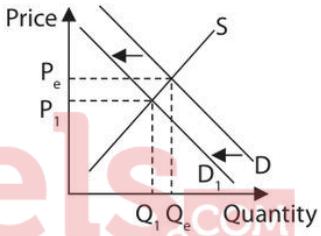
☒ **B**



☒ **C**



☒ **D**



(b) Land can be described as which **one** of the following?

(1)

☒ **A** A diseconomy of scale

☒ **B** A factor of production

☒ **C** A variable cost

☒ **D** A market failure

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P 5 9 9 6 3 A 0 7 2 4

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Turn over ▶

3. Question 2 · part a · 1 mark · Working and answer

Working and answer

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4. Question 4 · part b · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

4 Figure 4 shows the Production Possibility Curve (PPC) for an economy making capital goods and consumer goods.

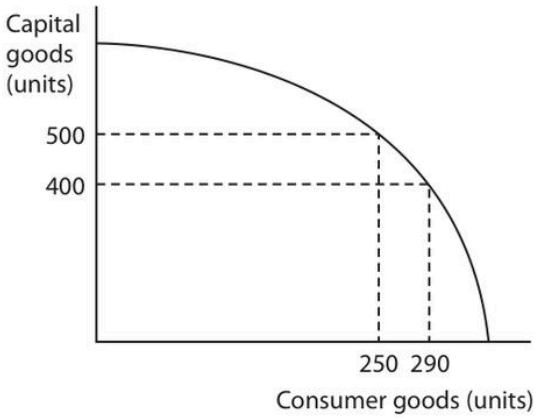


Figure 4

(a) When the current level of output is 250 units of consumer goods, calculate the **opportunity cost** of producing an additional 40 units of consumer goods. You are advised to show your working. **(2)**

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4. Question 4 · part b · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

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A tagine is a type of cooking pot which is used to make meals throughout Morocco. Almost every home in Morocco has one. They have also become an increasingly popular purchase for tourists who want to take home a souvenir of their travels. Producers can sell tagines in markets all over Morocco. However, as demand has increased, many have chosen to sell in the areas visited by tourists, such as Marrakesh.

(b) With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined.

(6)

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4. Question 4 · part b · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.



4. Question 4 · part b · 6 marks

2023 JAN · Paper 01

Further practice · Attempt part b only.

Dahab is a seaside town in Egypt. It is a popular destination for visitors from around the world as well as other parts of Egypt. Some visitors return many times in order to enjoy the relaxing atmosphere, beach-side restaurants and water sports.

There are a large number of restaurants competing for customers. Some specialise in certain types of food. Others offer discounts for regular visits or provide live entertainment.

(c) With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab.

(12)

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4. Question 4 · part b · 6 marks · Working and answer

Working and answer

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5. Question 2 · part a · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part a only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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5. Question 2 · part a · 1 mark · Working and answer

Working and answer

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6. Question 1 · part e · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

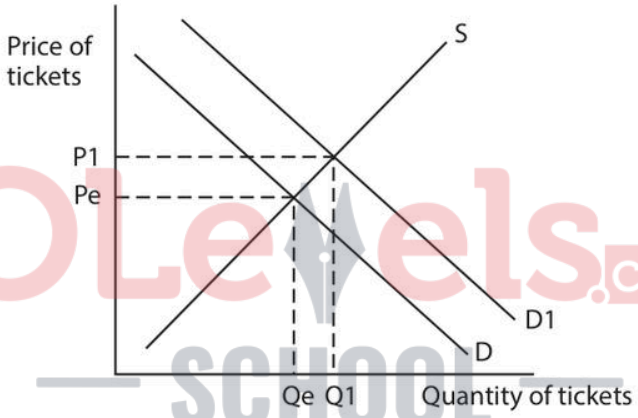


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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6. Question 1 · part e · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part e only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

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(e) Define the term excess supply.

(1)

6. Question 1 · part e · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part e only.

A firm increases supply by 4.3% following a price increase of 3.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

Figure 2 shows the market for electric cars.

(g) Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

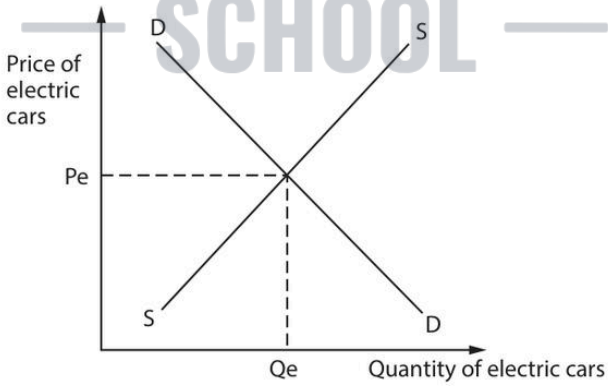


Figure 2

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P 7 3 4 9 8 A 0 4 2 4

6. Question 1 · part e · 1 mark · Working and answer

Working and answer

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7. Question 2 · part a · 1 mark

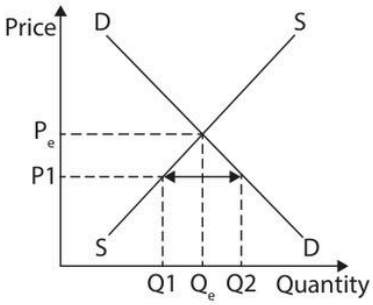
2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

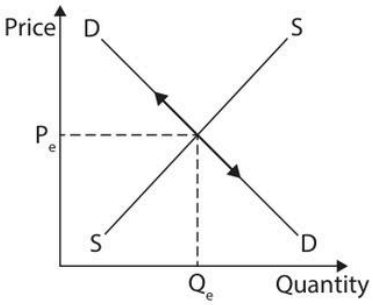
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

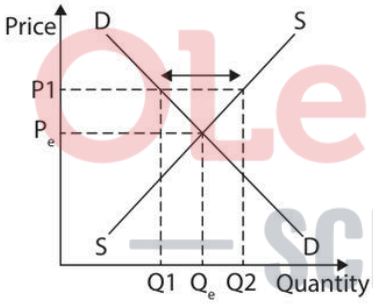
☒ **A**



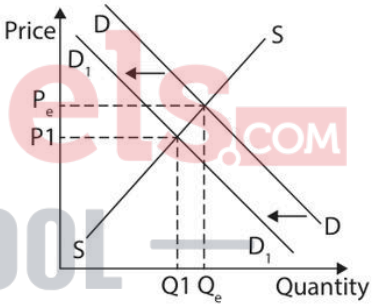
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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7. Question 2 · part a · 1 mark · Working and answer

Working and answer

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8. Question 2 · part a · 1 mark

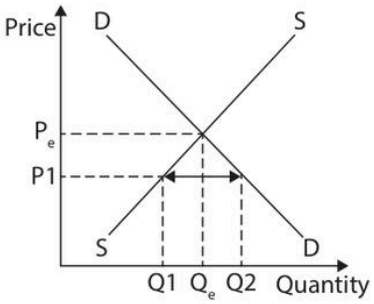
2024 JUN · Paper 01

Further practice · Attempt part a only.

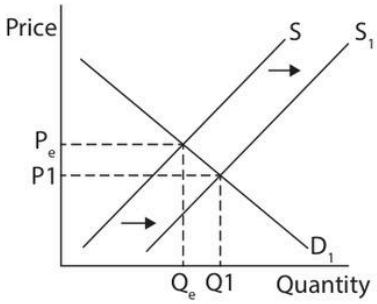
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

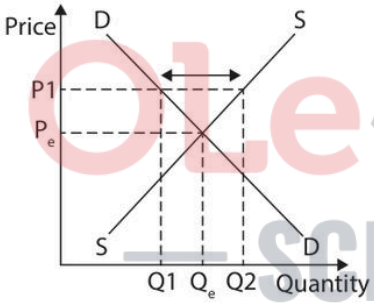
☒ **A**



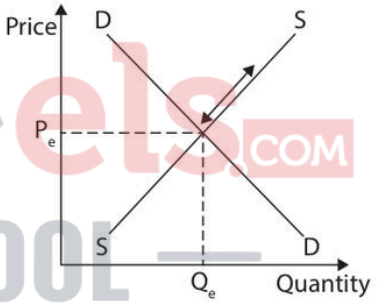
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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8. Question 2 · part a · 1 mark · Working and answer

Working and answer

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

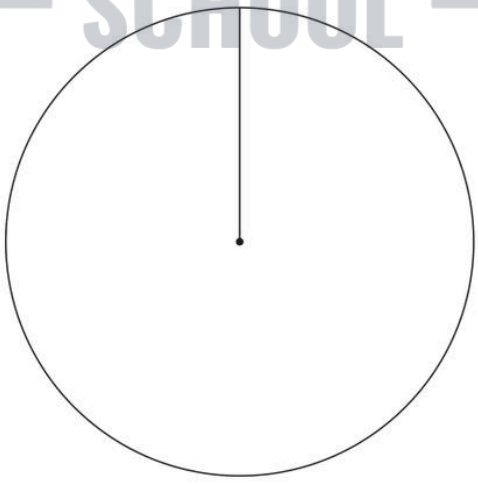


Figure 4

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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Figure 5 shows the excess demand for tickets at an event in Stockholm, Sweden, when the price of a ticket is 1 500 krona.

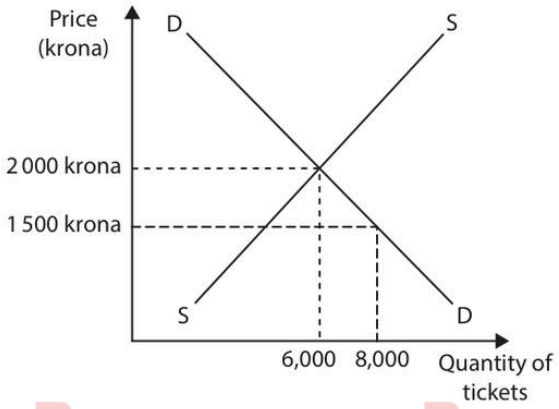


Figure 5

(d) With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand.

(6)

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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9. Question 3 · part d · 6 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

In 2021, the Indonesian Government spent 9.4% of its budget on healthcare. By 2027, healthcare spending will more than double on a per capita basis from $114 to $269.

This increase is due to an improvement in Indonesia's economic growth. The growth is partly because more people in other countries want to buy goods and services made in Indonesia.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending.

(9)

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9. Question 3 · part d · 6 marks · Working and answer

Working and answer

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Practice workbook · Excess demand and excess supply

Finding the size of a market shortage or surplus at a given price, from a graph or by totalling demand figures over several periods or places.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-CALC-02

1. Question 4 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

4 A concert venue in Malaysia holds a maximum of 3,200 people for each performance. The quantity of tickets demanded for the most recent concerts is shown in Figure 5.

Concert	Quantity of tickets demanded
A	4,200
B	6,000
C	3,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three concerts totals 9,600. You are advised to show your working.

(2)

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1. Question 4 · part a · 2 marks

2022 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part a only.

The Cuban Government owns and runs most industries in the country and more than 75% of the labour force is employed by the state.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of having a large public sector to a country such as Cuba.

(6)

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1. Question 4 · part a · 2 marks · Working and answer

Working and answer

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 Figure 4 shows the quantity of a good supplied and demanded at different price levels.

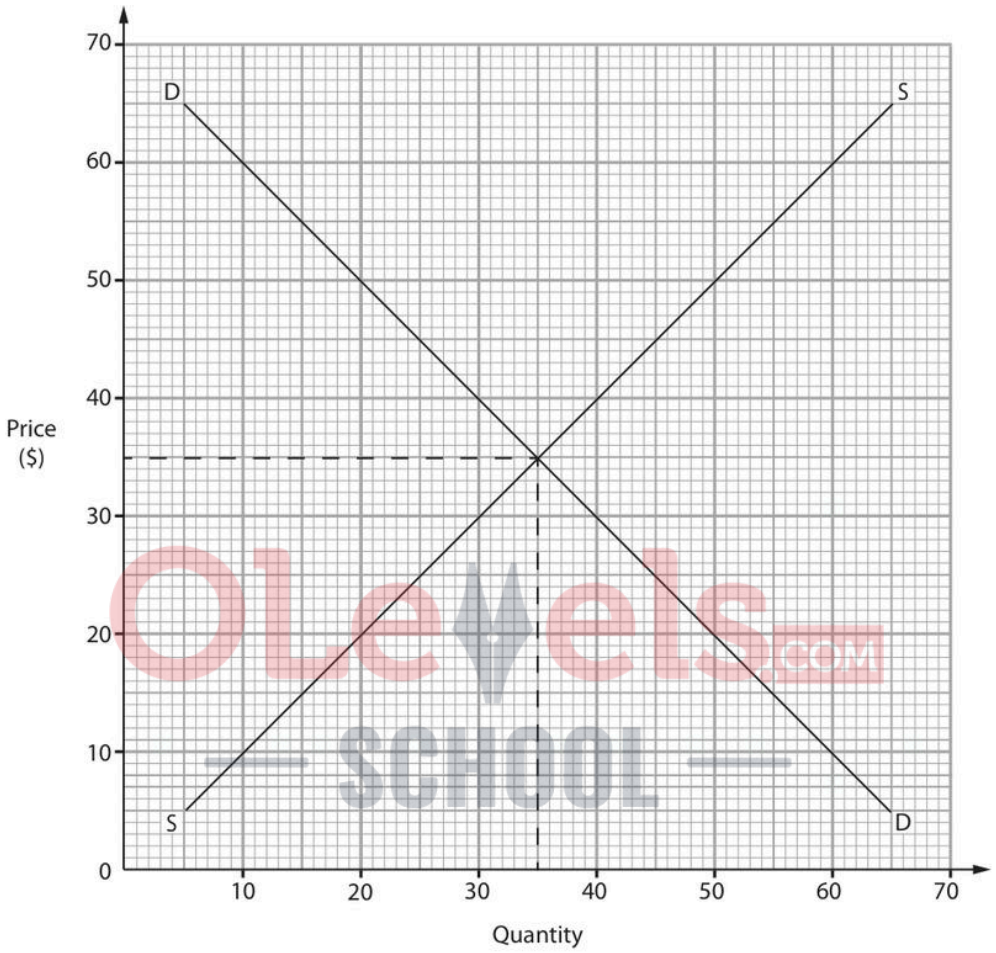


Figure 4

(a) Using the information in Figure 4, calculate the excess demand of goods in the market at a price of $20. You are advised to show your working.

(2)

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2. Question 4 · part a · 2 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

NBC Universal pays $7.75bn for Olympics through to 2032

The International Olympic Committee (IOC) announced it had agreed a $7.75bn deal with the USA television network, NBC Universal. This will extend its broadcasting rights to the Olympic Games up until 2032. The deal gives NBC Universal total control over all media platforms in the USA, including television, internet and mobile. A spokesman for NBC Universal said they were confident they would get back the high cost through advertising.

(Source: adapted from https://eu.usatoday.com/story/sports/olympics/2014/05/07/nbc-olympics-broadcast-rights-2032/8805989/

(b) With reference to the data above and your knowledge of economics, analyse the benefits to NBC Universal of agreeing this deal with the IOC.

(6)

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2. Question 4 · part a · 2 marks · Working and answer

Working and answer

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3. Question 4 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

4 Figure 6 shows the quantity of a good supplied and demanded at different price levels.

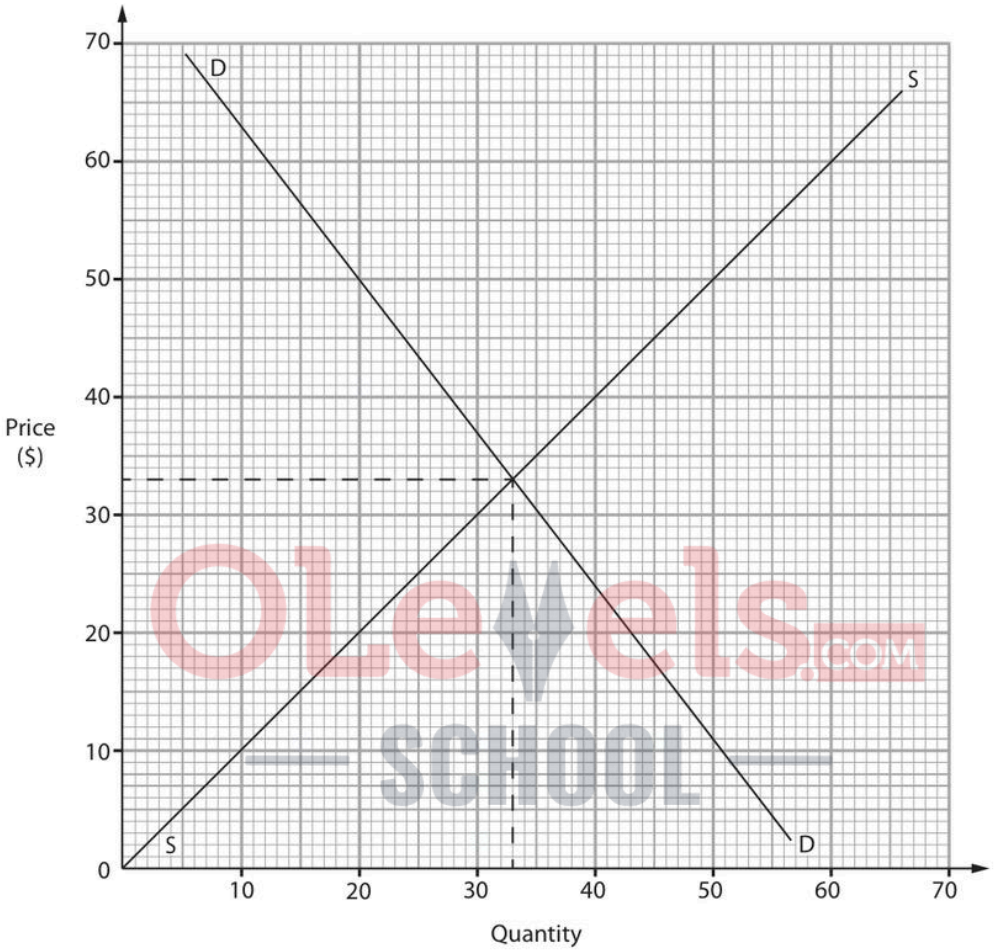


Figure 6

(a) Using the information in Figure 6, calculate the excess supply of goods in the market at a price of $50. You are advised to show your working.

(2)

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3. Question 4 · part a · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part a only.

Competition and Markets Authority warns online sellers about collusion

The Competition and Markets Authority (CMA) is a UK government department that aims to increase competition. It has reminded online sellers of electrical equipment that collusion is illegal and can result in serious penalties. The CMA stated that buying electrical equipment online, such as laptops and games consoles, means consumers can search a wide range of deals from many different sellers. However, it also stated that collusion is a threat.

(Source: adapted from © Crown Copyright)

(b) With reference to the data above and your knowledge of economics, analyse why collusion may be a disadvantage for online consumers buying electrical equipment.

(6)

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3. Question 4 · part a · 2 marks · Working and answer

Working and answer

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4. Question 1 · part f · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

1 (a) Car production is most likely to take place in which sector of the economy?

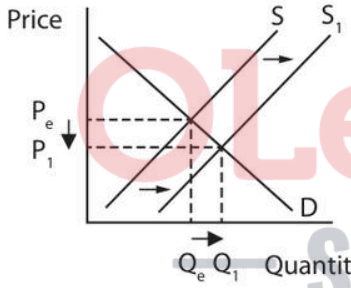
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

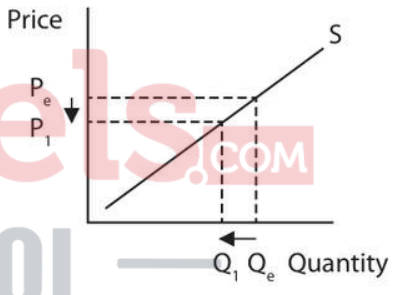
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

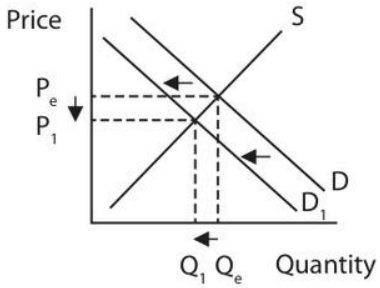
☒ **A**



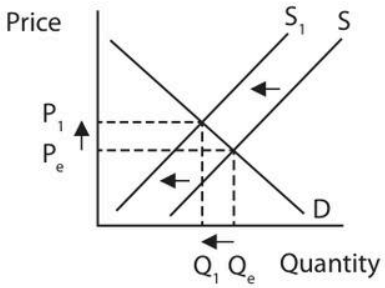
☒ **B**



☒ **C**



☒ **D**



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4. Question 1 · part f · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

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(e) Define the term external benefit.

(1)

4. Question 1 · part f · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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4

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4. Question 1 · part f · 2 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

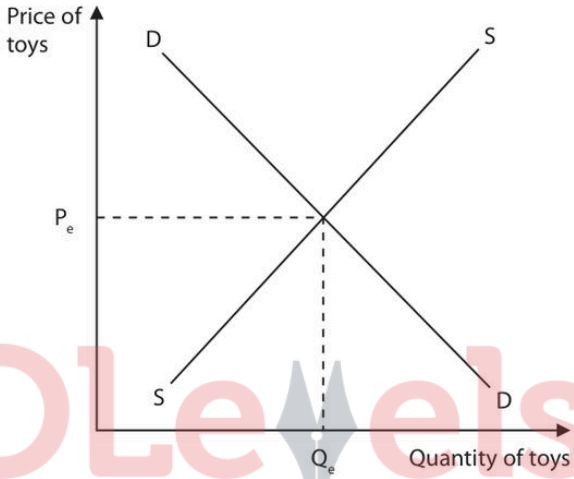


Figure 2

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4. Question 1 · part f · 2 marks · Working and answer

Working and answer

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5. Question 1 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

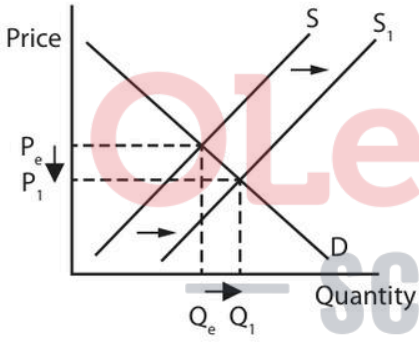
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

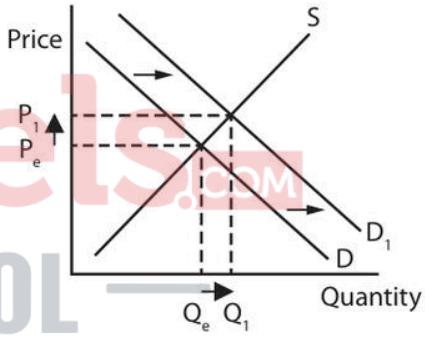
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

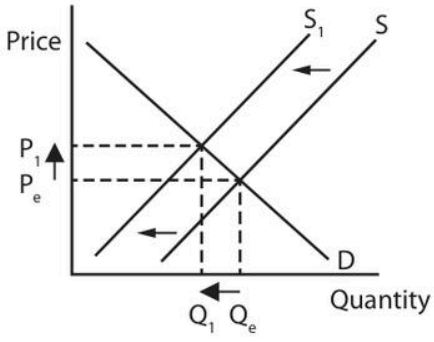
☒ **A**



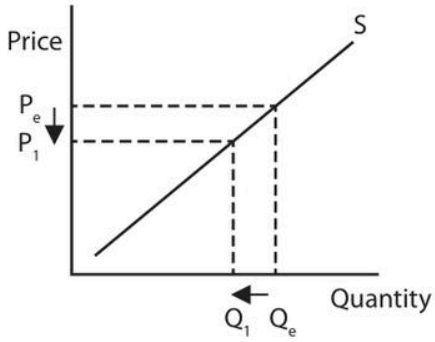
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

5. Question 1 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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5. Question 1 · part f · 2 marks

2020 NOV · Paper 01

Further practice · Attempt part f only.

(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

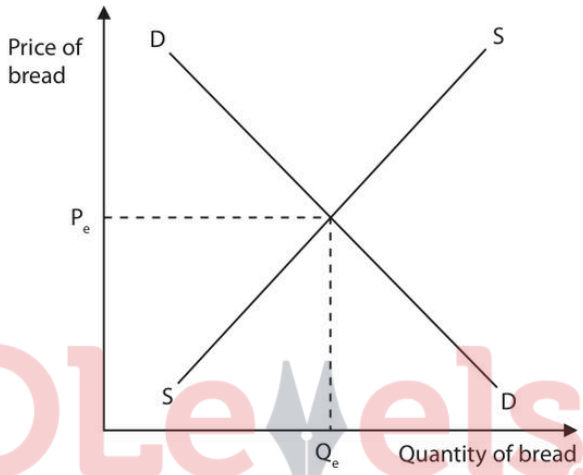


Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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P 6 2 0 3 0 A 0 5 2 4

5. Question 1 · part f · 2 marks · Working and answer

Working and answer

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6. Question 4 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

4 A restaurant in Cyprus can seat 136 diners each evening. The demand for seats from diners over three evenings is shown in Figure 5.

Evening	Quantity of seats demanded
Thursday	98
Friday	114
Saturday	107

Figure 5

(a) Calculate the **excess supply** of seats if the quantity supplied during these three evenings totalled 408. You are advised to show your working.

(2)

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P 6 6 3 2 7 A 0 1 8 2 4

6. Question 4 · part a · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part a only.

Street lighting is provided by governments in many countries. It is provided to improve safety for pedestrians and increase visibility for motorists. It also provides a more inviting environment after dark.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem means street lighting is provided by the government.

(6)

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6. Question 4 · part a · 2 marks · Working and answer

Working and answer

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7. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

4 The demand for meals over three lunchtimes at a café in Austria is shown below.

Day	Quantity of meals demanded
Thursday	58
Friday	64
Saturday	79

Figure 5

(a) Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.

(2)

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7. Question 4 · part a · 2 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

The market structure of the airline industry is an oligopoly. Major airlines, such as Emirates, Lufthansa, Qantas and Delta Airlines compete with one another over the routes they offer. Passengers are able to travel to countries worldwide for work, leisure and to visit family and friends.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers.

(6)

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P 7 4 0 5 7 A 0 1 8 2 4

7. Question 4 · part a · 2 marks · Working and answer

Working and answer

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8. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

4 A sports arena in Guatemala holds a maximum of 20,000 people for each event. The quantity of tickets demanded for the most recent events is shown below.

Event	Quantity of tickets demanded
A	22,200
B	21,000
C	20,250

Figure 5

(a) Calculate the **excess demand** for tickets if the quantity supplied for all three events totals 60,000. You are advised to show your working.

(2)

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8. Question 4 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

Zambia has a defence force that includes both an army and an air force. The Zambian Government is responsible for the provision of this defence force.

(b) With reference to the data above and your knowledge of economics, analyse why the free rider problem has led to the Zambian Government providing the defence force.

(6)

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8. Question 4 · part a · 2 marks · Working and answer

Working and answer

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9. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part a only.

4 A factory has been unable to meet the demand for its product due to a shortage of raw materials. The quantity demanded for the product during each of the first three months of 2024 is shown in Figure 5.

Month	Quantity of products demanded
January	13,600
February	14,200
March	11,700

Figure 5

(a) Calculate the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.

(2)

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9. Question 4 · part a · 2 marks

2024 NOV · Paper 01

Further practice · Attempt part a only.

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Hiking is a popular activity for visitors to the Caribbean island of Saint Vincent. Tourists can hire a guide to accompany them on the popular route of La Soufrière Volcano by booking online before arriving on the island and the price is $34. However, the price is only $20 if the guide is booked directly on arrival. Some tourists have complained because they did not know this was possible.

(b) With reference to the data above and your knowledge of economics, analyse a possible reason why the market for tourism services is an inefficient allocation of resources.

(6)

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9. Question 4 · part a · 2 marks · Working and answer

Working and answer

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10. Question 1 · part f · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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10. Question 1 · part f · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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10. Question 1 · part f · 2 marks

2025 NOV · Paper 01

Further practice · Attempt part f only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

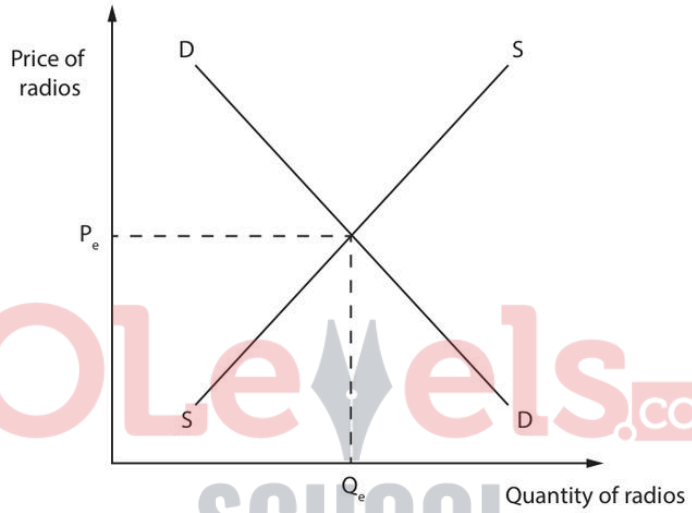


Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

(3)

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P 7 8 9 5 6 A 0 4 2 4

10. Question 1 · part f · 2 marks · Working and answer

Working and answer

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Practice workbook · Supply of labour: what changes the workforce

Population size, migration, age structure, retirement and school-leaving ages, female participation, skills, and geographical/occupational mobility.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-18

1. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part e only.

3 (a) Which **one** of the following is likely to lead to an inefficient allocation of resources?

(1)

- ☒ **A** Migration
- ☒ **B** Competition
- ☒ **C** Lack of information
- ☒ **D** Division of labour

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** Sheep farmer
- ☒ **B** Factory worker
- ☒ **C** Coal miner
- ☒ **D** Sales assistant

(c) Using the diagram below, draw the effects of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

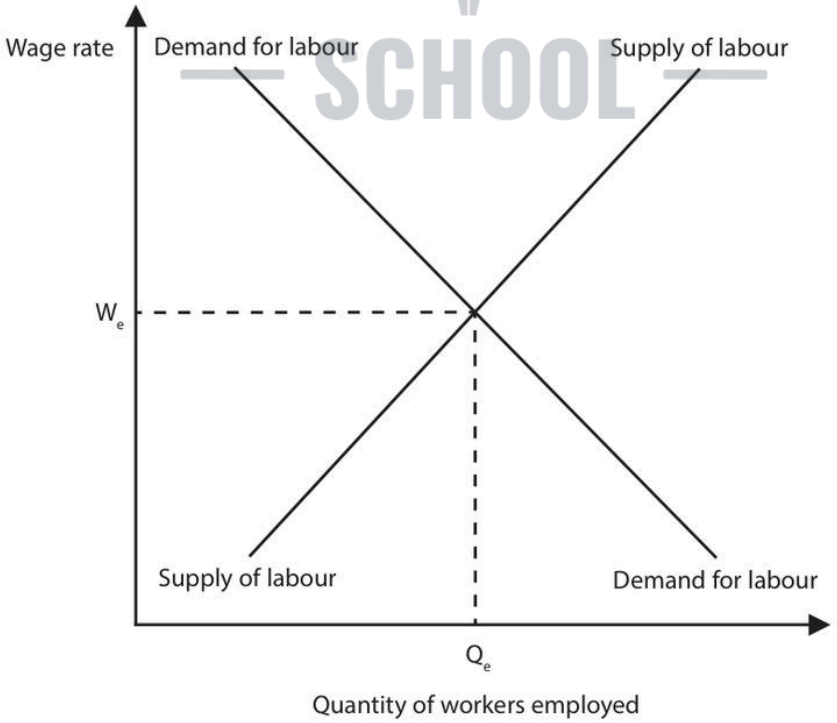


Figure 3

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1. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part e only.

During the 2019 Cricket World Cup, supporters of teams such as India, Bangladesh, England, Pakistan and Sri Lanka watched matches at stadiums and on television around the world. Pepsi was one of the main advertisers during the event.

(d) With reference to the data above and your knowledge of economics, analyse how the demand curve for Pepsi might have been affected during the 2019 Cricket World Cup.
(6)

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1. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part e only.

The current retirement age in Singapore is 62. However, it will gradually be raised to 63 in 2022 and to 65 by 2030. People are living longer and the life expectancy in the country is now over 84 years.

The manufacturing sector contributes almost 25% of Singapore's Gross Domestic Product (GDP). The financial services sector, which is growing, is also making a significant contribution to GDP.

(e) With reference to the data above and your knowledge of economics, assess whether raising the retirement age is likely to be the most effective method to increase the supply of labour.

(9)

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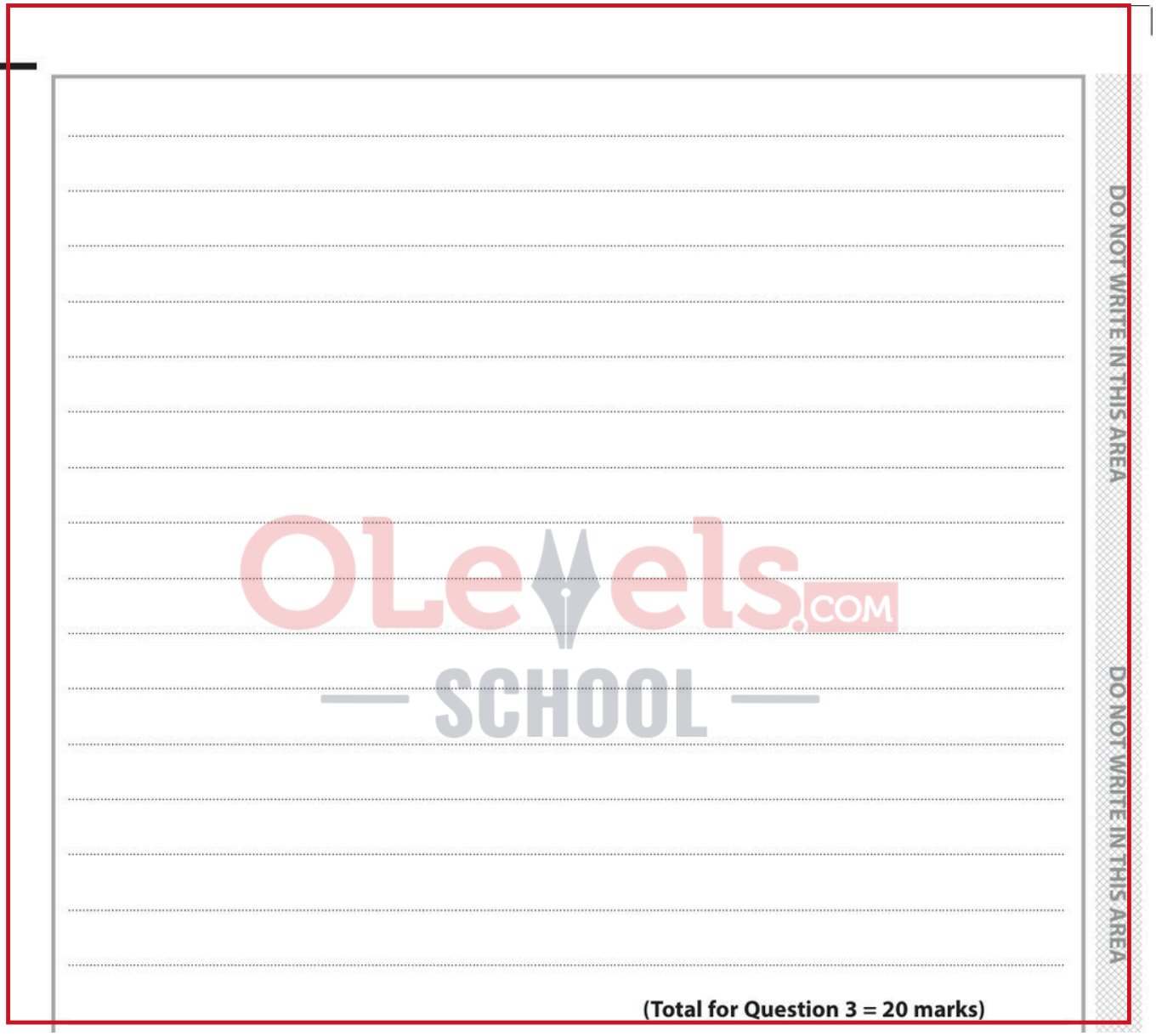
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1. Question 3 · part e · 9 marks

2021 NOV · Paper 01

Worked-example retry · Attempt part e only.



1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

3 A product has an income elasticity of demand (YED) of -0.16.

(a) Which **one** of the following best describes this product?

(1)

- ☒ **A** A luxury good
- ☒ **B** A normal good
- ☒ **C** A public good
- ☒ **D** An inferior good

(b) Which **one** of the following is a diseconomy of scale?

(1)

- ☒ **A** An increase in productivity
- ☒ **B** An increase in bureaucracy
- ☒ **C** A decrease in the cost of research and development
- ☒ **D** A decrease in government regulation

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

(c) Using the diagram below, draw the effects of a minimum wage (W_1) being set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

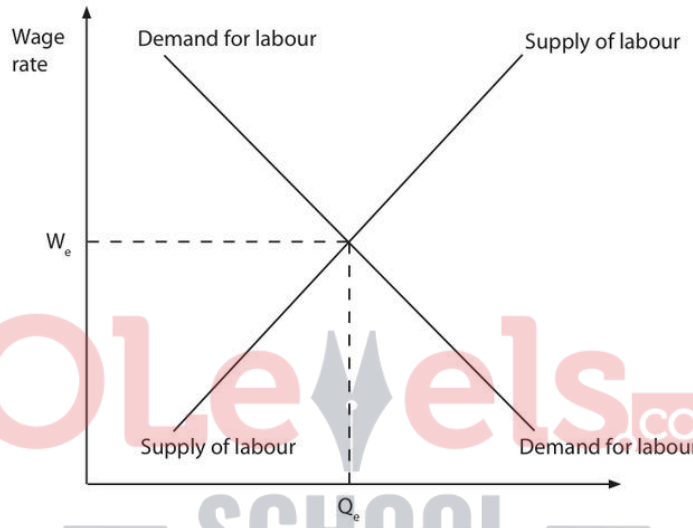


Figure 5

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

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Firms in Canada, the world's second largest country, have been struggling to find the labour needed for specialist positions such as computer engineers and web designers. The 'Global Talent Stream' is a government programme that provides firms with a quick way to hire highly skilled foreign workers. High costs and long time commitments often stop Canadians from training. Although a processing fee is payable for each new employee, firms have welcomed the programme.

(Source: adapted from http://www.canada.ca/en/employment-socialdevelopment/)

(d) With reference to the data above and your knowledge of economics, analyse why Canadian firms may have been struggling to hire the labour they need.

(6)

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2. Question 3 · part d · 6 marks

2019 JUN · Paper 01

Further practice · Attempt part d only.

Productivity is a measure of how efficiently goods and services are produced and is the single most important determinant of a country's per capita income. Canada's labour productivity growth has been lower than that of other leading economies for many decades, reducing its international competitiveness. Since 2011 however, Canada's labour productivity has greatly improved and it is now the 3rd most productive of the 16 leading economies.

(Source: adapted from http://www.conferenceboard.ca/hcp/)

(e) With reference to the data above and your knowledge of economics, assess the extent to which an increase in education and training is the best way to increase productivity.

(9)

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2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 3 · part a · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following is most likely to cause an increase in the supply of labour?

(1)

- ☒ **A** A higher retirement age
- ☒ **B** A higher school-leaving age
- ☒ **C** A fall in population
- ☒ **D** A fall in demand for the final product

(b) Average costs can be calculated by which **one** of the following equations?

(1)

- ☒ **A** $\frac{\text{Total revenue}}{\text{Total costs}}$
- ☒ **B** $\frac{\text{Total revenue}}{\text{Price}}$
- ☒ **C** $\frac{\text{Output}}{\text{Total fixed costs}}$
- ☒ **D** $\frac{\text{Total costs}}{\text{Output}}$

(c) Draw a demand curve on the diagram below that has price elastic demand (PED). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)

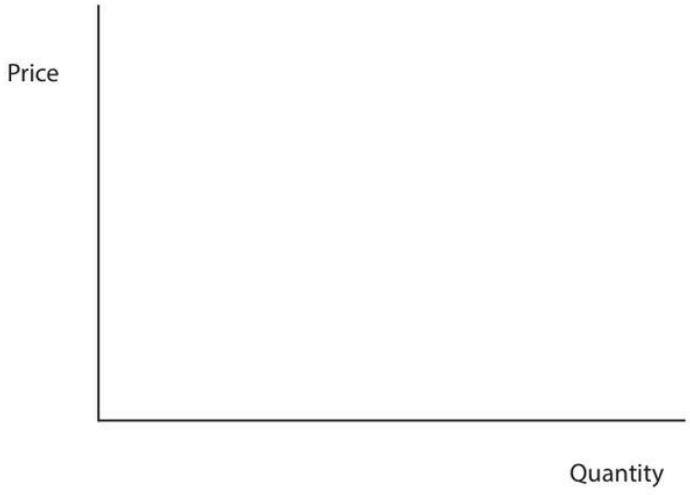


Figure 2

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3. Question 3 · part a · 1 mark · Working and answer

Working and answer

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4. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

4 Financial data for a firm selling a selection of products is shown in Figure 5.

Product	X	Y
Price	$1 500	$1 650
Quantity sold	25	20
Total revenue	$1 500 × 25	$1 650 × 20
PED	−0.39	−1.46

Figure 5

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **elastic**. You are advised to show your working.

(2)

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4. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

Tony Simpson is an artist whose income comes from selling his paintings to small craft shops. However, sales have recently fallen due to the closure of many of these types of shops. To avoid the risk of unemployment, he is considering training to become an art teacher by applying to a government scheme. This would provide an income while Tony is training to be a teacher.

(b) With reference to the data above and your knowledge of economics, analyse how an increased ability to move to different types of employment might affect the supply of labour.

(6)

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4. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

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P 6 2 0 3 0 A 0 2 0 2 4

4. Question 4 · part b · 6 marks

2020 NOV · Paper 01

Further practice · Attempt part b only.

The rise of the restaurant robot

There has been an increase in the number of restaurants using robots instead of waiters and even chefs. Waiters who take customer orders have been replaced with computer tablets for ordering. Technology is now available to automatically serve espresso shots and make cappuccinos. This is due to efficiencies, rising labour costs, consumers' desire for convenience and their changing purchasing habits. This could change the dining experience as restaurants increase their use of technology.

(Source adapted from: https://www.forbes.com/sites/andrewrigie/2018/09/24/the-rise-of-the-restaurant-robot/#4f69b2593747)

(c) With reference to the data above and your knowledge of economics, evaluate the possible effect of an increase in the use of technology on productivity in restaurants.

(12)

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21

Turn over ▶

4. Question 4 · part b · 6 marks · Working and answer

Working and answer

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5. Question 1 · part h · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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5. Question 1 · part h · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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5. Question 1 · part h · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

(g) Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

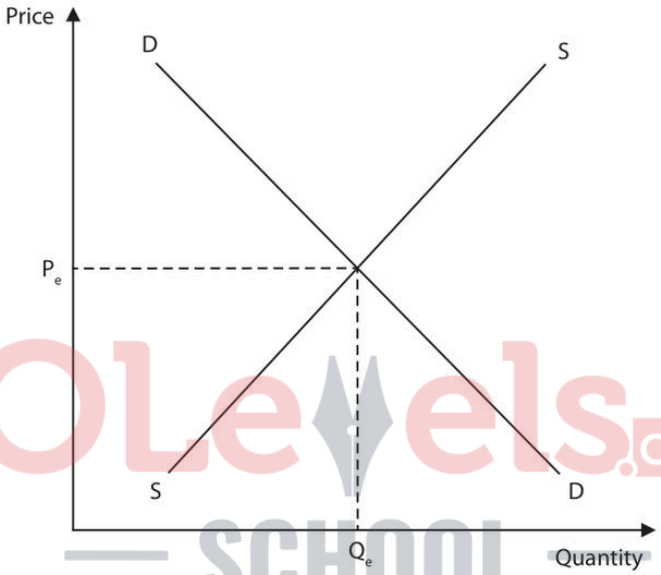


Figure 1

In 2015, the school-leaving age in England was raised from 16 to 18.

(h) Explain **one** possible effect on the supply of labour of the school-leaving age being raised.

(3)

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5. Question 1 · part h · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part h only.

Bupa is an international firm that provides healthcare products to 32 million customers in 190 countries. The initial purpose of the firm was to provide health insurance. It has grown by offering a wider range of services. These include retirement homes for the elderly, eye care, hospital treatment, dental work and travel insurance.

(i) With reference to the data above and your knowledge of economics, analyse why Bupa may have decided to operate in a wider range of markets.

(6)

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(Total for Question 1 = 20 marks)

5. Question 1 · part h · 3 marks · Working and answer

Working and answer

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6. Question 2 · part a · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

2 (a) Which **one** of the following would lead to an increase in the supply of labour?

(1)

- ☒ **A** Decrease in the retirement age
- ☒ **B** Increase in the school-leaving age
- ☒ **C** Increase in female participation
- ☒ **D** Decrease in population

A small firm manufactures jewellery to the exact requirements of its customers.

(b) This is an example of which **one** of the following markets?

(1)

- ☒ **A** Monopoly
- ☒ **B** Labour
- ☒ **C** Niche
- ☒ **D** Financial

(c) State the formula for price elasticity of supply (PES).

(1)

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6. Question 2 · part a · 1 mark · Working and answer

Working and answer

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7. Question 2 · part h · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	−1.5
☒	**B**	**X**	−1
☒	**C**	**Y**	−0.5
☒	**D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

7. Question 2 · part h · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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7. Question 2 · part h · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

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Figure 2 shows the supply of wheat in a region during 2019.

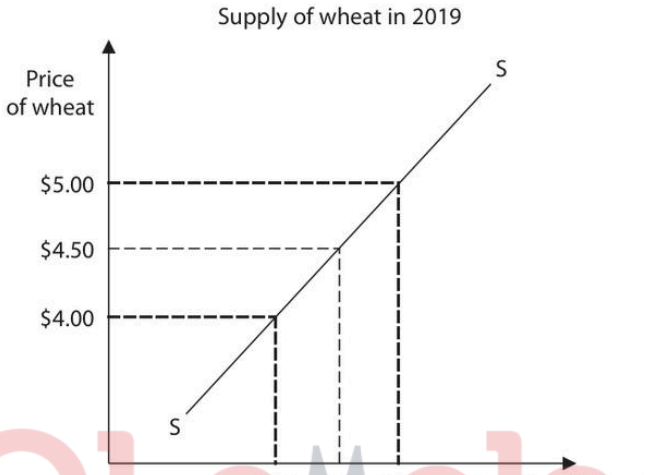


Figure 2

(g) Explain **one** effect on the supply curve of wheat following a change in the price of wheat.

(3)

7. Question 2 · part h · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

In England, there has been an increase in the number of science, maths and modern language graduates. Some of these graduates choose to enter the teaching profession with these qualifications. Many are encouraged to do so by a government bonus payment of £9 000, only available to graduates in these subjects. However, many do not stay in the profession for more than one or two years. This is due to problems of long working hours, bureaucracy and student behaviour. Those with science qualifications often find different types of employment quite easily.

(Source adapted from: https://www.theguardian.com/education/2019/oct/05/science-and-language-teachers-to-get-9000-staying-on-bonus)

(h) With reference to the data above and your knowledge of economics, assess whether an increase in the number of people with skills and qualifications will always lead to an increase in the supply of teachers.

(9)

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7. Question 2 · part h · 9 marks

2022 JUN · Paper 01

Further practice · Attempt part h only.

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(Total for Question 2 = 20 marks)

7. Question 2 · part h · 9 marks · Working and answer

Working and answer

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8. Question 3 · part e · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

3 (a) Which **one** of the following is the definition of a merger?

(1)

- ☒ **A** The joining together of two firms
- ☒ **B** The transfer of ownership from the government
- ☒ **C** The takeover of one firm by another firm
- ☒ **D** The creation of a competitive market

(b) Which **one** of the following is a reason why a government would introduce a minimum wage?

(1)

- ☒ **A** To increase the benefits paid by a government
- ☒ **B** To reduce the motivation of workers
- ☒ **C** To close the income gap between the rich and the poor
- ☒ **D** To ensure producers increase their profits

(c) On the blank pie chart below, draw and label the likely approximate size of employment in the primary (P), secondary (S) and tertiary (T) sectors for a developed country, such as Japan.

(3)

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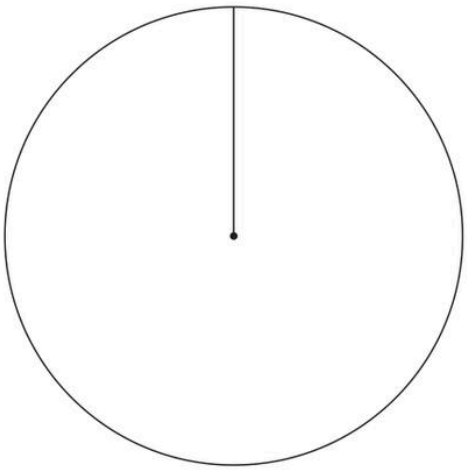


Figure 5

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8. Question 3 · part e · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

There are plans to build a $296m residential tower in the business district of Sydney, Australia, but some local people do not want the tower to be built.

(Source adapted from: https://architectureau.com/articles/tallest-residential-tower-in-sydney-approved/)

(d) With reference to the data above and your knowledge of economics, analyse the possible external costs that may occur during the building of the residential tower.

(6)

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8. Question 3 · part e · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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P 7 1 5 5 6 A 0 1 4 2 4

8. Question 3 · part e · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

Dubai in the UAE has a population of more than 2.5 million people. Immigrant workers make up over 80% of this population. Many of the immigrants provide construction, cleaning or care services.

(Source adapted from: https://www.futurelearn.com/info/courses/migration-theories/0/steps/35094)

(e) With reference to the data above and your knowledge of economics, assess the benefits to Dubai of employing such a high proportion of migrant labour.

(9)

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8. Question 3 · part e · 9 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

8. Question 3 · part e · 9 marks · Working and answer

Working and answer

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9. Question 2 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

2 (a) A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?

(1)

- ☒ **A** $250
- ☒ **B** $4 556 250
- ☒ **C** 250 units
- ☒ **D** 4,556,250 units

(b) Which **one** of the following is a possible cause of positive economic growth?

(1)

- ☒ **A** Decreasing population
- ☒ **B** Decreasing productivity
- ☒ **C** Increasing unemployment
- ☒ **D** Increasing technological advancements

(c) What is meant by the term opportunity cost?

(2)

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9. Question 2 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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Figure 3 shows some of the production costs in March for a firm manufacturing clothing in Bangladesh.

Production costs	Bangladeshi Taka (Tk)
Rent	20 250
Raw materials	10 050
Advertising	5 125
Labour (paid in direct proportion to output)	105 000

Figure 3

(d) Calculate the **total fixed costs** for the firm in March. You are advised to show your working.

(2)

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(e) Describe **one** reason why an entrepreneur is a factor of production.

(2)

9. Question 2 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

In 2028, the lowest age at which workers can receive a private pension in the UK will rise from 55 to 57. This means that the age of retirement will increase for many people.

(f) Explain **one** advantage for firms of an increase in the retirement age.

(3)

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9. Question 2 · part f · 3 marks

2023 NOV · Paper 01

Further practice · Attempt part f only.

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It is estimated that about 24 million tourists visit Venice, Italy each year. This high number of tourists means that the city is very overcrowded.

In January 2023, a new tourist tax was introduced on people visiting Venice. Tourists need to pay between €3 and €10 for each day they are in Venice. The higher €10 rate is paid at peak times, reducing to €3 during quieter periods.

(Source: adapted from https://veneziaautentica.com/venice-tourist-tax/)

(g) With reference to the data above and your knowledge of economics, assess the likely effectiveness of the tourist tax in dealing with negative externalities, such as overcrowding.

(9)

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9. Question 2 · part f · 3 marks · Working and answer

Working and answer

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10. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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10. Question 1 · part d · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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P 7 2 9 6 8 R A 0 3 2 4

3

Turn over

10. Question 1 · part d · 1 mark · Working and answer

Working and answer

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11. Question 3 · part a · 1 mark

2024 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) An increase in which **one** of the following is most likely to cause a decrease in the supply of labour?

(1)

- ☒ **A** The retirement age
- ☒ **B** The school-leaving age
- ☒ **C** The population
- ☒ **D** The demand for the final product

(b) Which **one** of the following is the formula to calculate total revenue?

(1)

- ☒ **A** Quantity sold × price
- ☒ **B** Profit – price
- ☒ **C** Profit ÷ price
- ☒ **D** Quantity sold ÷ price

(c) Using the diagram below, draw a price elastic demand (PED) curve. Label the curve and show the impact on both axes from a change in price.

(3)



Figure 2

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11. Question 3 · part a · 1 mark · Working and answer

Working and answer

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12. Question 1 · part h · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

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(c) What is meant by the term economies of scale?

(2)

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12. Question 1 · part h · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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12. Question 1 · part h · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

Figure 1 shows the market for smartphones.

(g) Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

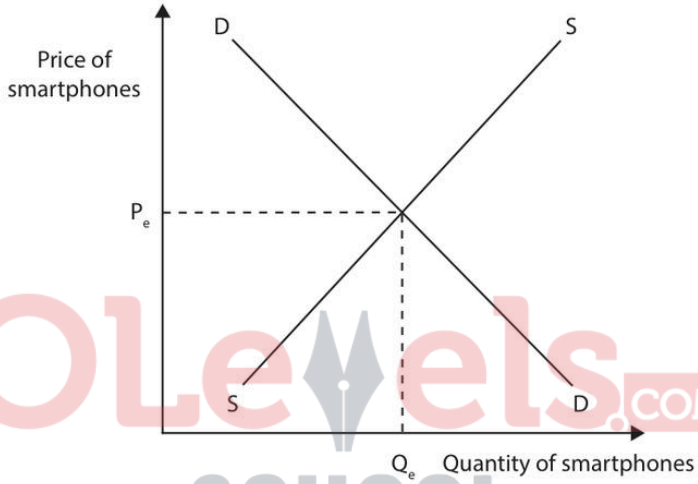


Figure 1

In 2023, the French Government increased the age at which people could receive a state pension to 64.

(h) Explain **one** possible effect of this change in the pension age on the supply of labour.

(3)

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12. Question 1 · part h · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part h only.

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Figure 2 shows the price elasticity of supply (PES) of avocados.

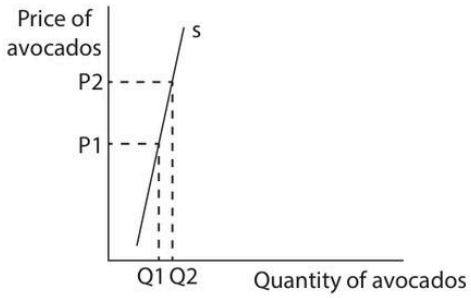


Figure 2

(i) With reference to the data above and your knowledge of economics, analyse the impact of an increase in price on the quantity supplied of avocados.

(6)

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12. Question 1 · part h · 3 marks · Working and answer

Working and answer

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13. Question 2 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

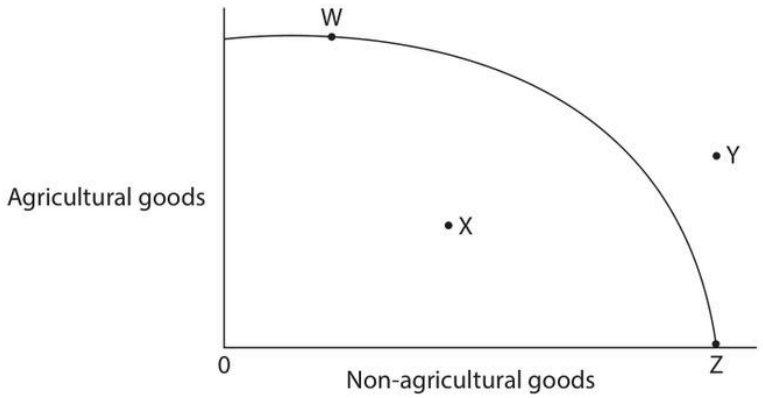


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

13. Question 2 · part b · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part b only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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13. Question 2 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · What shifts the demand curve

The non-price factors (advertising, income, tastes, substitutes, complements, demographics) that shift demand left or right, and what a shift means.

14 question parts: 1 worked-example retry and 13 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-08

1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

3 (a) A free rider can be defined as an individual who does which **one** of the following?

(1)

- ☒ **A** Enjoys the benefit of a good after paying for it
- ☒ **B** Enjoys the benefit of a good but does not pay for it
- ☒ **C** Gives a good away after paying for it
- ☒ **D** Neither uses a good nor pays for it

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** House builder
- ☒ **B** Cattle farmer
- ☒ **C** Hotel receptionist
- ☒ **D** Forestry worker

(c) Using the diagram below, draw the effect of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

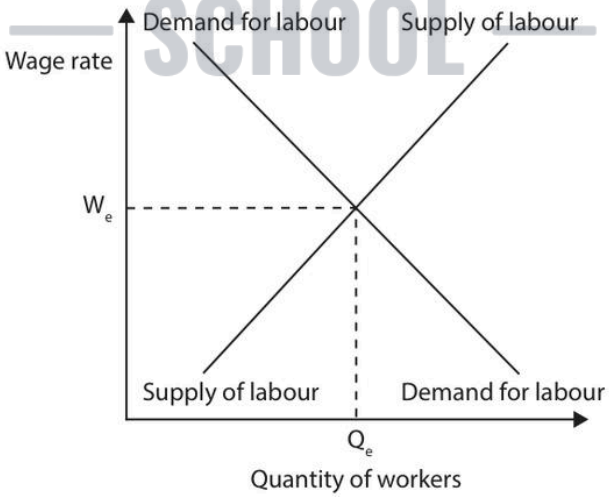


Figure 3

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1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

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At the end of 2023, Amazon Prime ended its streaming service of live tennis coverage in the UK after a period of five years. Sky took over the service at the start of 2024 but at a much higher price to customers.

Subscribing to Tennis TV is the only alternative to Sky for customers in the UK wanting to stream the majority of live tennis. On 28th December 2023, Tennis TV increased the price of its subscription.

(d) With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service.

(6)

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1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part d only.

Sri Lanka Railways (SLR) has made a loss of Rs 331bn over the last 10 years.
The Sri Lankan Government provides a subsidy so that ticket prices can be reduced. This is to encourage passengers to use trains rather than further increase congestion on the roads.

A spokesperson for SLR said that it needs to upgrade existing railway tracks to make services more comfortable for passengers as well as increase the number of trains to reduce overcrowding. This will require a larger subsidy.

(e) With reference to the data above and your knowledge of economics, assess the effectiveness of subsidies in dealing with externalities, such as road congestion.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 1 · part e · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part e · 1 mark

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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O1.eVels.COM

2. Question 1 · part e · 1 mark · Working and answer

Working and answer

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3. Question 2 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

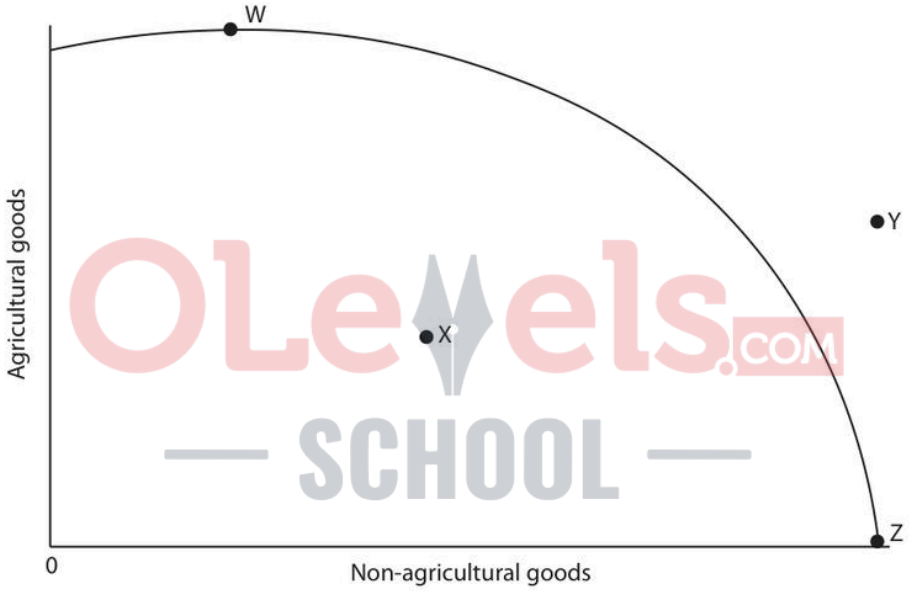


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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3. Question 2 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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3. Question 2 · part e · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part e only.

Beating the congestion in Dhaka

Nearly 17 million people live in Dhaka, the capital of Bangladesh. The majority of people live in the city centre and traffic congestion is a problem. However, there are many auto rickshaws (a small, three-wheeled vehicle, driven by a motorcycle engine) competing in the city centre to take passengers to their destinations. Fares tend to be cheaper in the city centre than they are outside the city centre and are usually agreed between passengers and drivers.

Dhaka has a large number of auto rickshaws competing for fares.

(f) Apart from price, describe **one** advantage for passengers of this competition.

(2)

(g) With reference to the information given in **'Beating the congestion in Dhaka'**, explain **one** reason why prices for journeys using an auto rickshaw might be higher outside the city centre.

(3)

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3. Question 2 · part e · 1 mark · Working and answer

Working and answer

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4. Question 1 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

1 (a) Car production is most likely to take place in which sector of the economy?

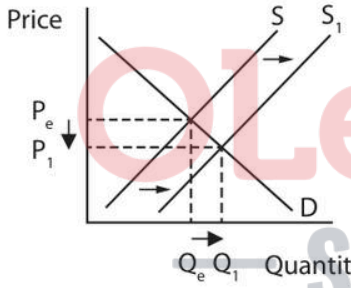
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

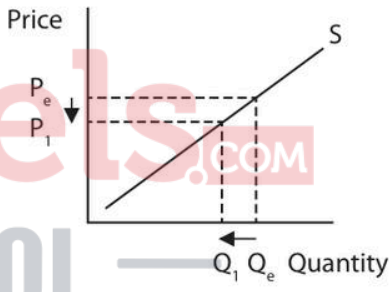
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

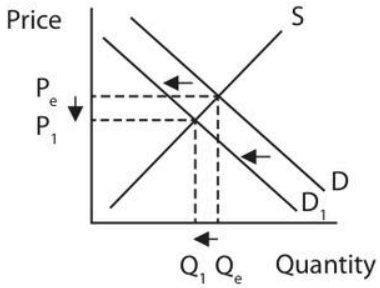
☒ **A**



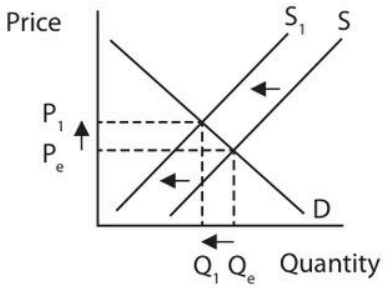
☒ **B**



☒ **C**



☒ **D**



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4. Question 1 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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4. Question 1 · part b · 1 mark · Working and answer

Working and answer

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5. Question 1 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

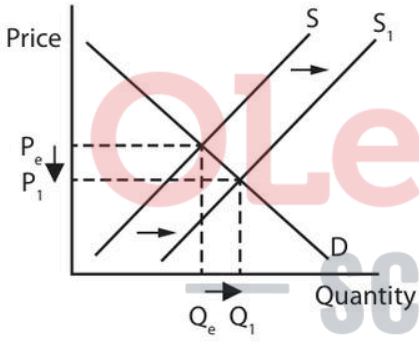
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

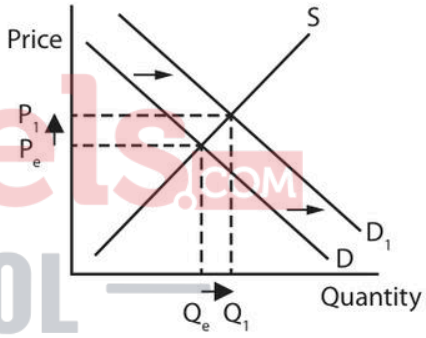
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

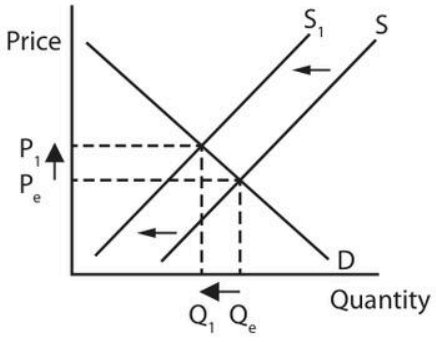
☒ **A**



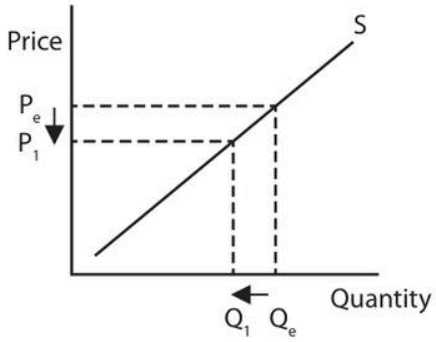
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

5. Question 1 · part b · 1 mark · Working and answer

Working and answer

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6. Question 3 · part a · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part a only.

3 (a) Which **one** of the following factors may cause a shift of the demand curve?

(1)

- ☒ **A** Costs of production
- ☒ **B** Demographic changes
- ☒ **C** Subsidies
- ☒ **D** Changes in price

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Healthcare
- ☒ **B** Litter
- ☒ **C** Rent
- ☒ **D** Weather

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.

(3)

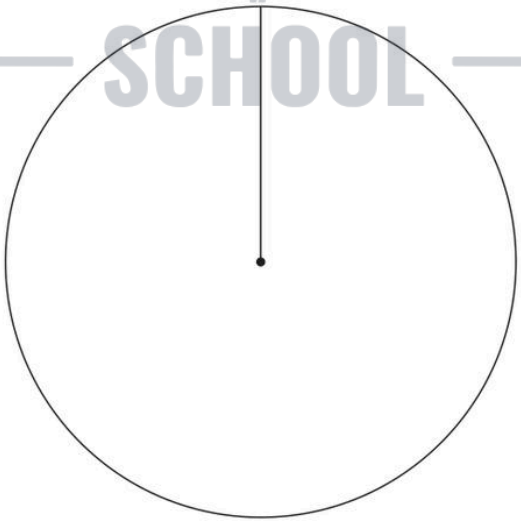


Figure 3

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6. Question 3 · part a · 1 mark · Working and answer

Working and answer

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7. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

3 (a) Which **one** of the following is likely to lead to an inefficient allocation of resources?

(1)

- ☒ **A** Migration
- ☒ **B** Competition
- ☒ **C** Lack of information
- ☒ **D** Division of labour

(b) Which **one** of the following is an example of an occupation in the tertiary sector?

(1)

- ☒ **A** Sheep farmer
- ☒ **B** Factory worker
- ☒ **C** Coal miner
- ☒ **D** Sales assistant

(c) Using the diagram below, draw the effects of a minimum wage (W_1) that has been set above the equilibrium wage (W_e). Label the new quantity of labour demanded and the new quantity of labour supplied.

(3)

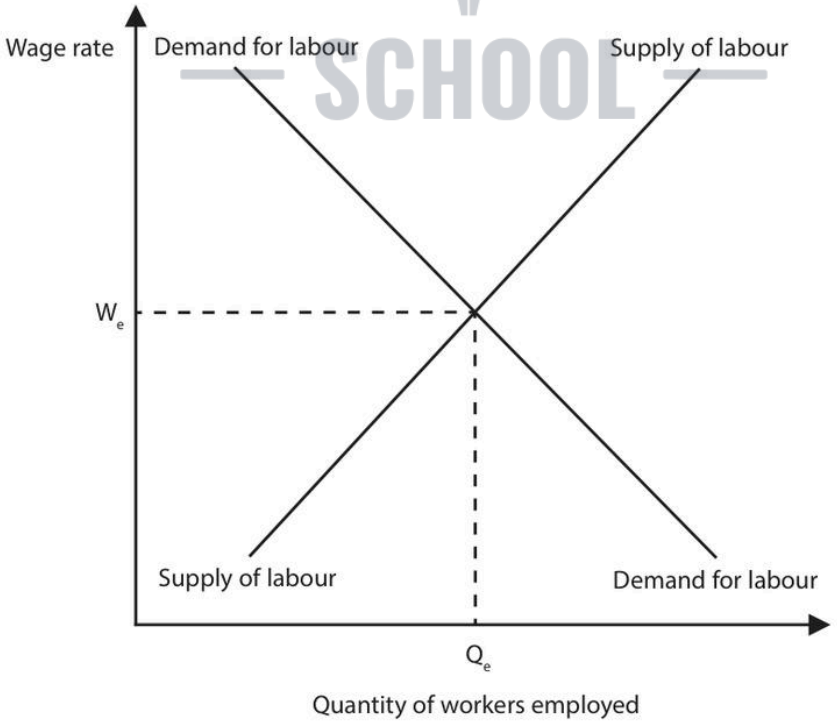


Figure 3

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7. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

During the 2019 Cricket World Cup, supporters of teams such as India, Bangladesh, England, Pakistan and Sri Lanka watched matches at stadiums and on television around the world. Pepsi was one of the main advertisers during the event.

(d) With reference to the data above and your knowledge of economics, analyse how the demand curve for Pepsi might have been affected during the 2019 Cricket World Cup.

(6)

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7. Question 3 · part d · 6 marks

2021 NOV · Paper 01

Further practice · Attempt part d only.

The current retirement age in Singapore is 62. However, it will gradually be raised to 63 in 2022 and to 65 by 2030. People are living longer and the life expectancy in the country is now over 84 years.

The manufacturing sector contributes almost 25% of Singapore's Gross Domestic Product (GDP). The financial services sector, which is growing, is also making a significant contribution to GDP.

(e) With reference to the data above and your knowledge of economics, assess whether raising the retirement age is likely to be the most effective method to increase the supply of labour.

(9)

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7. Question 3 · part d · 6 marks · Working and answer

Working and answer

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8. Question 1 · part d · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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8. Question 1 · part d · 1 mark

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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8. Question 1 · part d · 1 mark · Working and answer

Working and answer

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9. Question 2 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

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A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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9. Question 2 · part e · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part e only.

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(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

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9. Question 2 · part e · 1 mark · Working and answer

Working and answer

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10. Question 2 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

2 (a) Which **one** of the following would occur when there are unsold goods in a market?

(1)

- ☒ **A** Excess demand
- ☒ **B** Excess supply
- ☒ **C** Higher prices
- ☒ **D** Increased productivity

(b) Which **one** of the following statements is correct?

(1)

- ☒ **A** The supply curve is always vertical
- ☒ **B** Supply and price are not related
- ☒ **C** Quantity supplied will fall when price falls
- ☒ **D** An increase in price will shift the supply curve

(c) State the name for price elasticity of demand (PED) with a numerical value of –1.

(1)

A factory producing shoes calculated that quantity supplied decreased by 2.7% following a price decrease of 1.9%.

(d) Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.

(2)

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10. Question 2 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

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(e) Define the term substitute.

(1)

(f) Describe **one** reason why a firm might stay small.

(2)

There are many market stalls selling food in Taba, Egypt. Some of these stalls have received positive reviews on social media about the quality of the food they sell.

(g) Explain **one** advantage of positive reviews for the owners of food stalls in Taba.

(3)

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10. Question 2 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

Rail travel in Poland is considered to be a monopoly. Polskie Koleje Państwowe (PKP) is the main firm that operates the trains and the rail network in Poland. Both passenger and freight trains run on PKP's network. It has over 18,510 km of track. Its main aims are to meet the transport needs of the state and the interests of its consumers.

(h) With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers.

(9)

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P 7 4 0 5 6 R A 0 1 0 2 4

10. Question 2 · part g · 3 marks · Working and answer

Working and answer

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11. Question 1 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

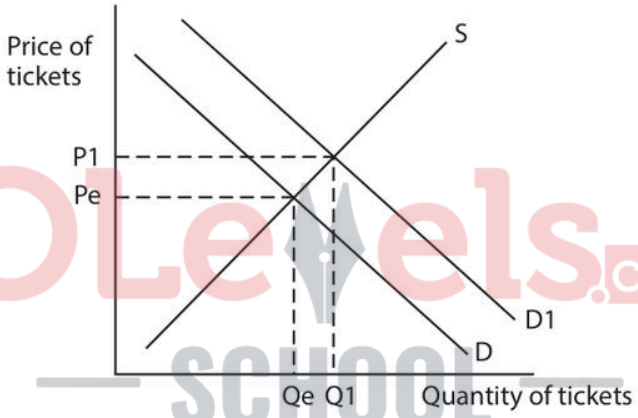


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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11. Question 1 · part b · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part b only.

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(c) What is meant by the term economies of scale?

(2)

(d) State **one** main feature of an oligopoly.

(1)

(e) Define the term excess supply.

(1)

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11. Question 1 · part b · 1 mark · Working and answer

Working and answer

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12. Question 3 · part a · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left of the demand curve?

(1)

- ☒ **A** Increased advertising
- ☒ **B** Cost reductions
- ☒ **C** Increased indirect taxes
- ☒ **D** Decreased incomes

(b) Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of –1.3?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Normal

(c) In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.

(3)

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12. Question 3 · part a · 1 mark · Working and answer

Working and answer

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13. Question 3 · part a · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

3 (a) Which **one** of the following could cause a shift in the demand curve for a product?

(1)

- ☒ **A** Costs of production
- ☒ **B** Quantity of the product available
- ☒ **C** Price of substitute goods
- ☒ **D** Subsidies

(b) Which **one** of the following is an example of an external cost?

(1)

- ☒ **A** Litter
- ☒ **B** Rent
- ☒ **C** Indirect tax
- ☒ **D** Vaccinations

(c) On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.

(3)

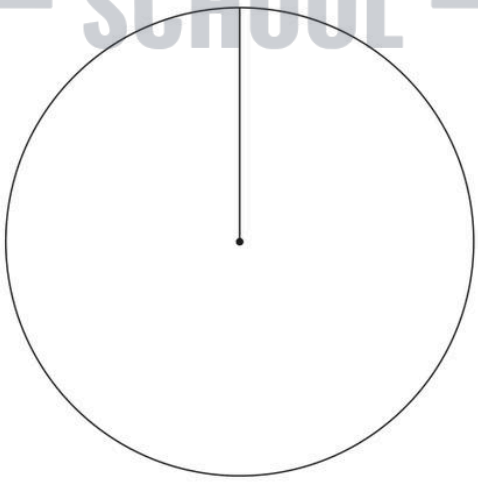


Figure 4

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13. Question 3 · part a · 1 mark · Working and answer

Working and answer

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14. Question 1 · part e · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part e only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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14. Question 1 · part e · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part e only.

(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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14. Question 1 · part e · 1 mark · Working and answer

Working and answer

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Practice workbook · What shifts the supply curve

The non-price factors (production costs, technology, indirect taxes, subsidies, natural factors) that shift supply left or right.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-09

1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

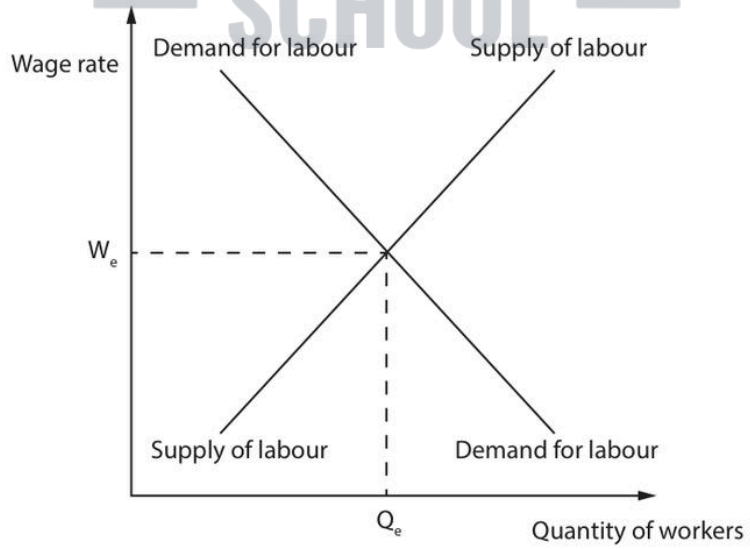


Figure 5

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P 7 8 9 5 6 A 0 1 2 2 4

1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.

The price of olive oil peaked in the summer of 2024, averaging €10 000 per tonne. It is expected to fall to between €4 000 and €5 000 per tonne in 2025.

Some of the main areas where olive oil is produced are located in Greece, Spain and Tunisia. All are set for improved harvests of olives, after years of heatwaves and droughts causing a fall in the harvest. Better weather means Greece is expected to produce 230,000 tonnes in the 2025 season, up from 130,000 tonnes the previous year. While Spain and Tunisia are also forecasting large increases in production.

(d) With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025.

(6)

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1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.



1. Question 3 · part d · 6 marks

2025 NOV · Paper 01

Worked-example retry · Attempt part d only.

Fitnation is a fitness centre in Almaty, Kazakhstan. Boxing is one of the many activities provided by the centre. Fitnation aims to complete charitable work by offering city residents access to the boxing facilities and coaching at a discounted price on one day a week. This makes boxing more accessible to many of the population who may otherwise not have been able to afford it.

However, it means the facilities are very busy on this day, reducing the availability for the centre members who have paid the full price of between $25 and $50 for a month of membership.

(e) With reference to the data above and your knowledge of economics, assess the benefits to Fitnation of offering the discounted price.

(9)

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1. Question 3 · part d · 6 marks · Working and answer

Working and answer

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

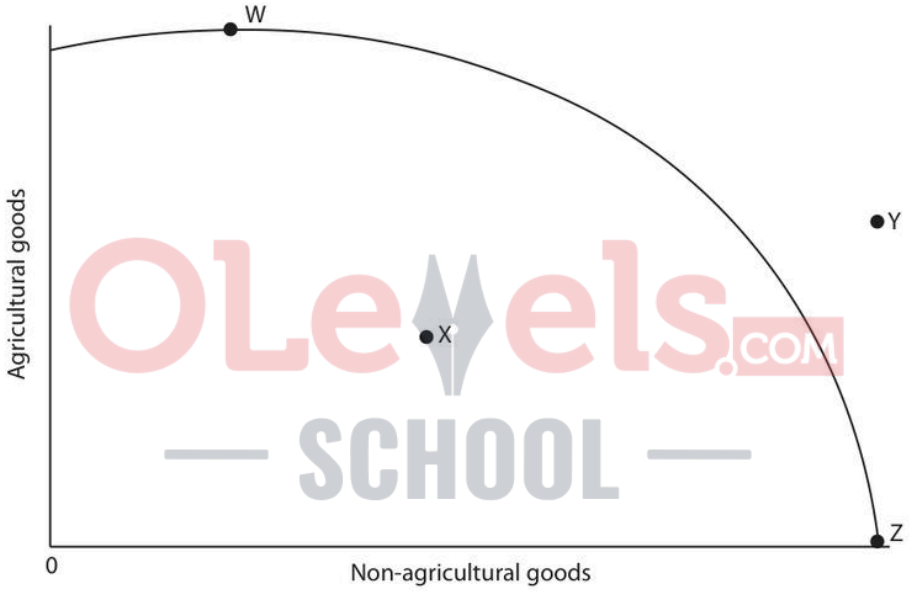


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

Beating the congestion in Dhaka

Nearly 17 million people live in Dhaka, the capital of Bangladesh. The majority of people live in the city centre and traffic congestion is a problem. However, there are many auto rickshaws (a small, three-wheeled vehicle, driven by a motorcycle engine) competing in the city centre to take passengers to their destinations. Fares tend to be cheaper in the city centre than they are outside the city centre and are usually agreed between passengers and drivers.

Dhaka has a large number of auto rickshaws competing for fares.

(f) Apart from price, describe **one** advantage for passengers of this competition.

(2)

(g) With reference to the information given in **'Beating the congestion in Dhaka'**, explain **one** reason why prices for journeys using an auto rickshaw might be higher outside the city centre.

(3)

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2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.

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A lack of space in many busy cities means parking is an increasing problem. Japan has developed the first Automated Parking Systems (APS). These are car parks where the cars are automatically stacked. The driver takes the car to the entrance, then technology takes over, placing each car on racks, one above the other. This allows many cars to be parked in a very small area. Not only do they offer a more practical use of space than traditional multi-storey car parks, but they cost less to build. The drivers benefit from cheaper parking fees and they save time.

(Source: adapted from http://japantravelmate.com/cool-japan/things-see-japans-automated-rotary-parking-systems)



Figure 4

(Source: © pio3/Shutterstock)

(h) With reference to the data above and your knowledge of economics, assess the extent to which changes in technology may reduce the shortage of car parking spaces in city centres.

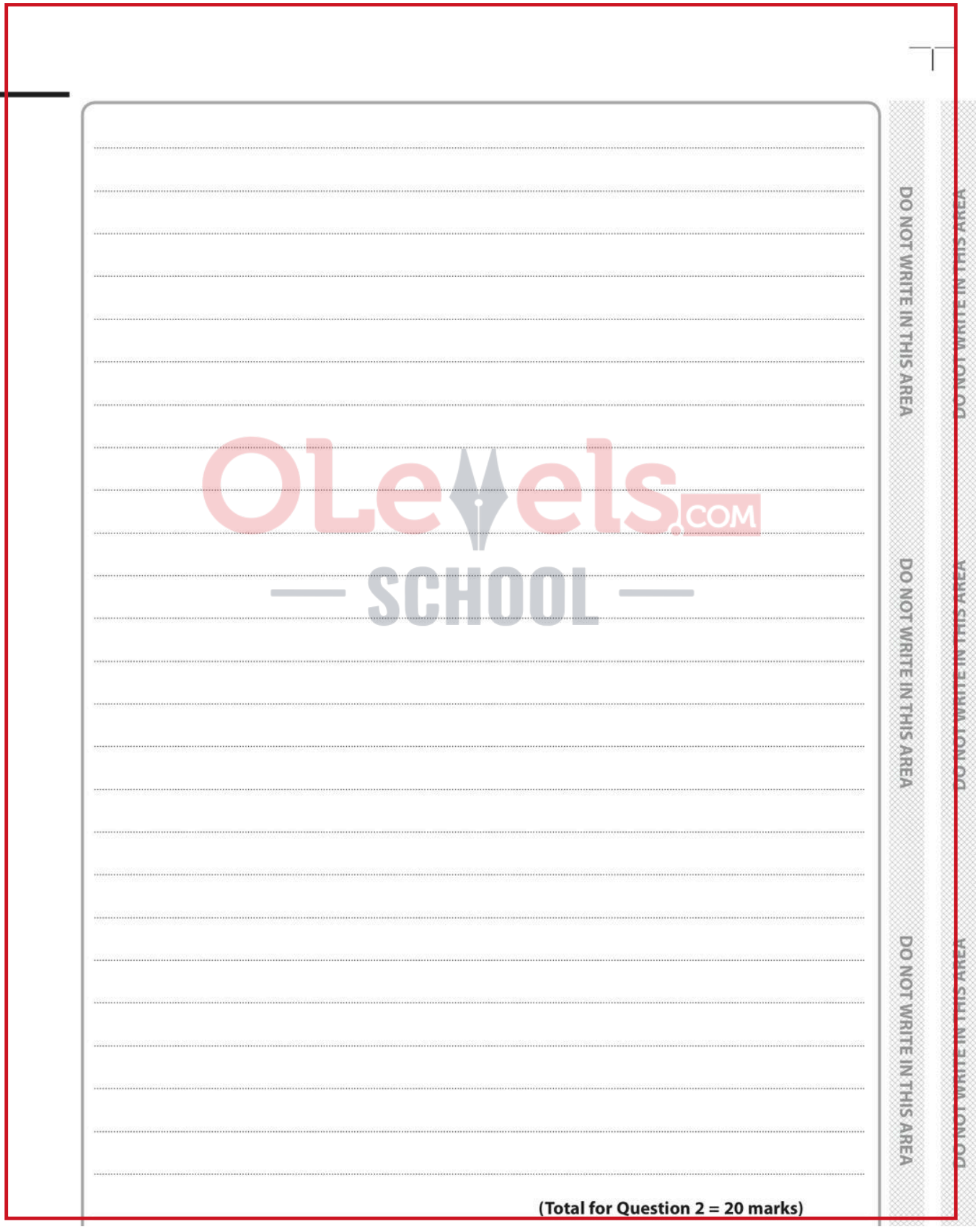
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P 6 0 7 4 9 A 0 9 2 0

2. Question 2 · part h · 9 marks

2019 JUN · Paper 01

Further practice · Attempt part h only.



2. Question 2 · part h · 9 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

1 (a) Car production is most likely to take place in which sector of the economy?

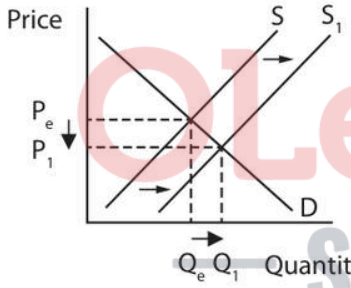
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

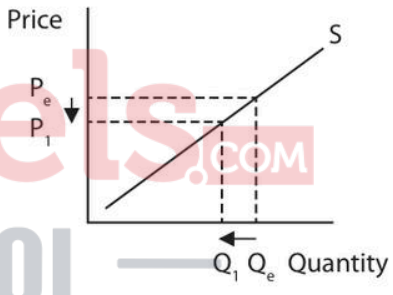
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

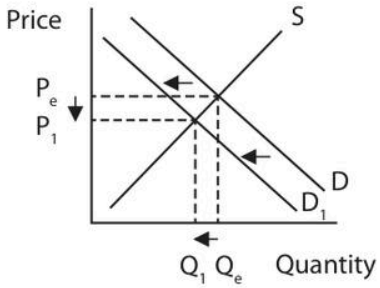
☒ **A**



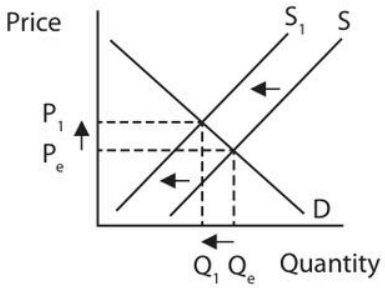
☒ **B**



☒ **C**



☒ **D**



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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

(e) Define the term external benefit.

(1)

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

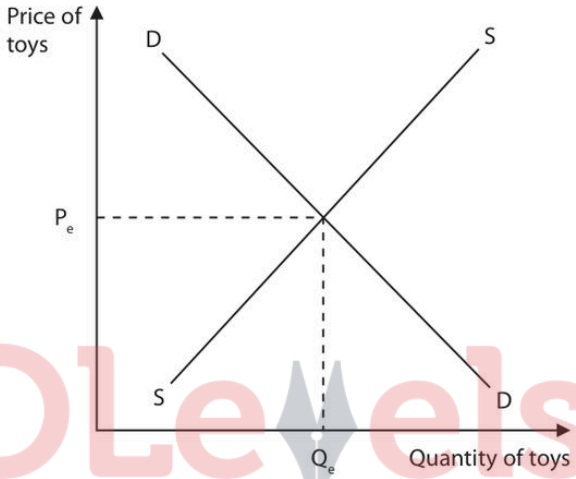


Figure 2

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

Virgin Atlantic took over a part of budget airline Flybe in the spring of 2019 to form Connect Airways.

(h) Explain **one** possible advantage for customers of Connect Airways from the takeover.

(3)

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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.

A powerful typhoon destroyed property on the island of Lamma in Hong Kong. Owners of restaurants that were damaged think it may take two or three months for them to fully reopen. This was due to flood damage and replacing equipment that was washed away. The repair costs for one restaurant owner was an estimated HK$300 000 to HK$400 000.

(Source adapted from: https://www.scmp.com/news/hong-kong/society/article/2164928/long-road-recovery-hong-kongs-outlying-islands-after-typhoon)

(i) With reference to the data above and your knowledge of economics, analyse how natural factors such as adverse weather may cause a shift in the supply curve.

(6)

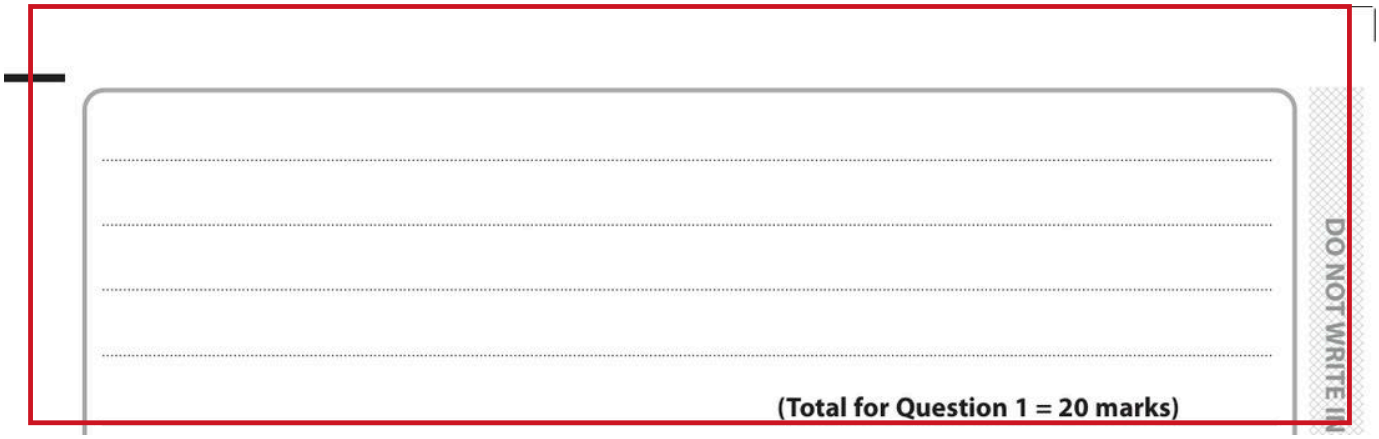
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3. Question 1 · part i · 6 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part i only.



Working and answer

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4. Question 3 · part a · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part a only.

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3 (a) Which **one** of the following is most likely to cause a shift to the left in the supply curve?

(1)

- ☒ **A** Increased indirect taxes
- ☒ **B** Cost reductions
- ☒ **C** Increased subsidies
- ☒ **D** Decreased advertising

(b) Which **one** of the following best describes an income elasticity of demand (YED) of 2.6?

(1)

- ☒ **A** Inferior
- ☒ **B** Unitary
- ☒ **C** Luxury
- ☒ **D** Inelastic

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4. Question 3 · part a · 1 mark · Working and answer

Working and answer

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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5. Question 1 · part d · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part d only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

6. Question 1 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a definition of opportunity cost?

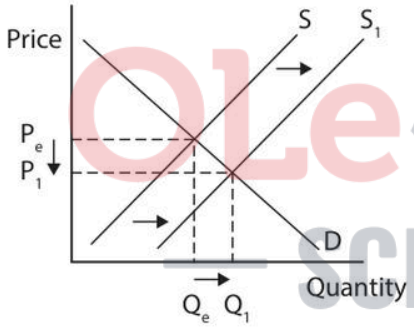
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

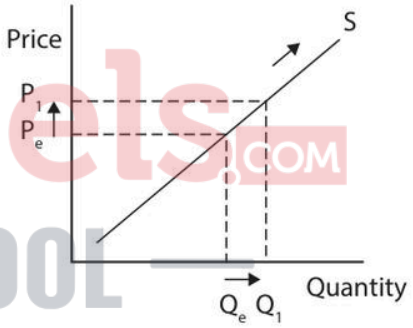
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

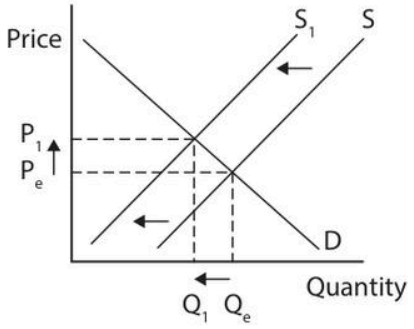
☒ **A**



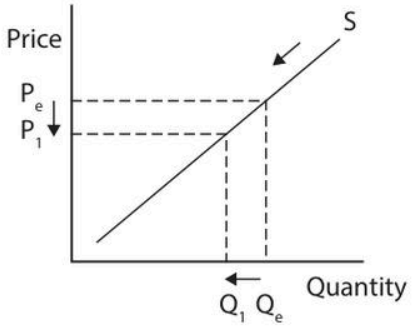
☒ **B**



☒ **C**



☒ **D**



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6. Question 1 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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6. Question 1 · part b · 1 mark · Working and answer

Working and answer

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Practice workbook · Draw a demand or supply shift and new equilibrium

On a given demand and supply diagram, shifting the correct curve in the correct direction and labelling the new curve, price and quantity.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-10

1. Question 1 · part g · 3 marks

2020 JAN · Paper 01

Worked-example retry · Attempt part g only.

1 (a) Which **one** of the following values shows perfect price inelasticity of supply?

(1)

- ☒ **A** 1.5
- ☒ **B** 1
- ☒ **C** 0.5
- ☒ **D** 0

(b) A firm has total costs of $1 250 000 per month and variable costs of $100 per unit. If it produces 5,000 units, calculate the **total fixed costs** per month for the firm.

(1)

- ☒ **A** $1 750 000
- ☒ **B** $1 250 100
- ☒ **C** $1 249 900
- ☒ **D** $750 000

(c) What is meant by the term supply?

(2)

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1. Question 1 · part g · 3 marks

2020 JAN · Paper 01

Worked-example retry · Attempt part g only.

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(d) State **one** example of an occupation that is in the secondary sector of the economy.

(1)

(e) Define the term labour.

(1)

(f) Calculate the **income elasticity of demand (YED)** for a good if income increases by 25% and quantity demanded increases by 10%. You are advised to show your working.

(2)

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1. Question 1 · part g · 3 marks

2020 JAN · Paper 01

Worked-example retry · Attempt part g only.

(g) Using the diagram below, draw the likely effects of an increase in income on the equilibrium price and quantity for wireless headphones. Label the new curve, the new equilibrium price and quantity.

(3)

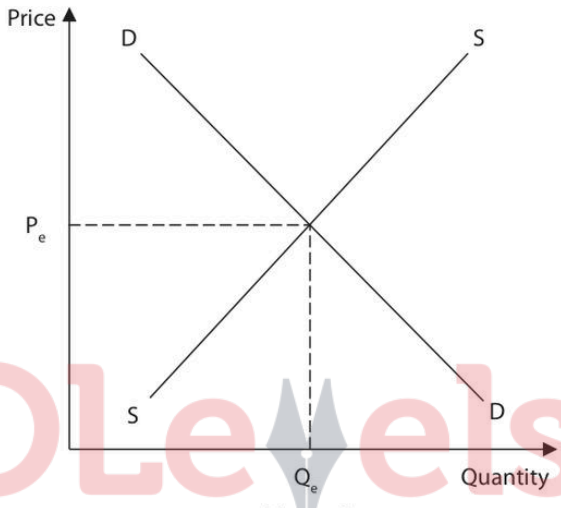


Figure 1

The government of a country has decided to build a new hospital.

(h) Explain **one** possible opportunity cost for the government of this decision.

(3)

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1. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 1 · part g · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a feature of an oligopoly?

(1)

- ☒ **A** Large firms dominate
- ☒ **B** Unique product
- ☒ **C** One firm dominates
- ☒ **D** No barriers to entry

(b) A firm has monthly total costs of $150 000 and monthly fixed costs of $90 000. If it produces 1,000 units, what are the monthly total variable costs for the firm?

(1)

- ☒ **A** $60
- ☒ **B** $90
- ☒ **C** $60 000
- ☒ **D** $240 000

(c) What is meant by the term luxury good?

(2)

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2. Question 1 · part g · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(d) State **one** factor that would affect price elasticity of supply (PES).

(1)

(e) Define the term substitute good.

(1)

Small but successful

Robert has been running a small business from a workshop in his own house for nine years. He has been carving door signs and gifts out of locally sourced wood. Rather than producing identical, standard items, he decided to only make products to meet the personal requirements of his customers. Each order is made specifically for them and reviews are very positive. Robert's success is due to a growing trend across the country as consumers increasingly prefer to buy locally sourced products.

(f) Calculate the price elasticity of supply for Robert's wooden door signs when the price increases by 5.2% and quantity supplied increases by 3.9%. You are advised to show your working.

(2)

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2. Question 1 · part g · 3 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Using the diagram below, draw the effects on the market for locally sourced goods of more customers preferring to buy from local firms. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

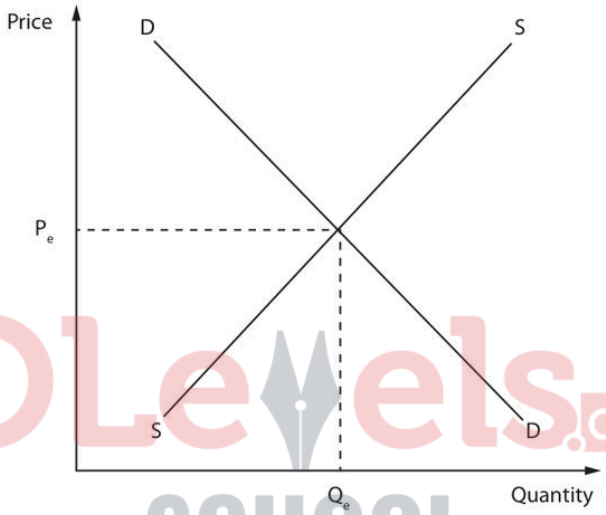


Figure 1

Robert is the only business specialising in handmade door signs in the local area.

(h) Explain **one** disadvantage for customers of Robert being the only local firm specialising in handmade door signs.

(3)

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4

P 6 0 7 0 9 A 0 4 2 0

2. Question 1 · part g · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 1 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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3. Question 1 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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3. Question 1 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

(g) Using the diagram below, draw the effects on the market for crops after a hurricane destroys farm land. Label the new curve, new equilibrium price and new equilibrium quantity.

(3)

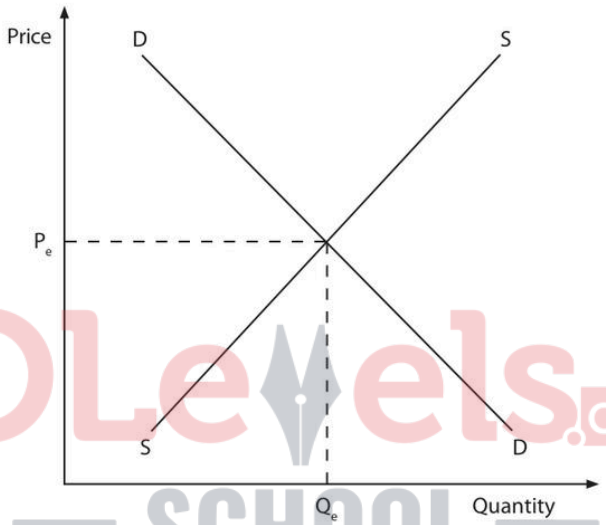


Figure 2

Concert tickets to see the most popular music artists can sell for very high prices.

(h) Explain **one** reason why the demand for these tickets might be price inelastic.

(3)

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3. Question 1 · part g · 3 marks · Working and answer

Working and answer

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4. Question 1 · part g · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Car production is most likely to take place in which sector of the economy?

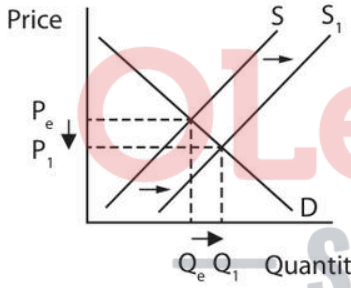
(1)

- ☒ **A** Primary
- ☒ **B** Secondary
- ☒ **C** Tertiary
- ☒ **D** Mixed

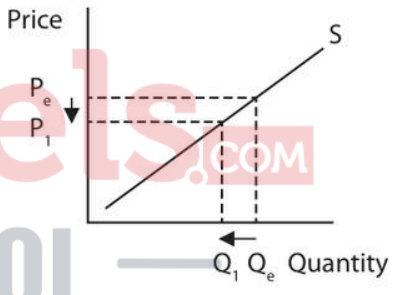
(b) Which **one** of the following diagrams shows the new equilibrium price and quantity for lemon ice cream in Thailand following a price reduction in chocolate ice cream?

(1)

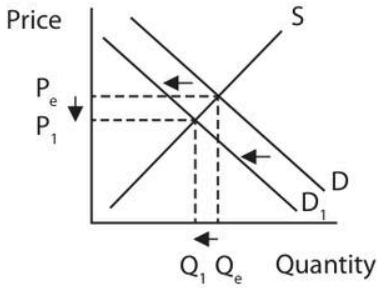
☒ **A**



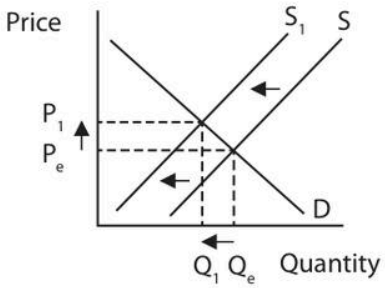
☒ **B**



☒ **C**



☒ **D**



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4. Question 1 · part g · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

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(c) What is meant by the term total revenue?

(2)

(d) State **one** possible cause of positive economic growth.

(1)

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(e) Define the term external benefit.

(1)

4. Question 1 · part g · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

Tour guides are available to accompany tourists who visit the Terracotta Army collection of sculptures in Xi'An, China. The quantity of tour guides demanded for the first three months of 2019 is shown below.

Month	Quantity of tour guides demanded
January	1,200
February	1,450
March	1,625

Figure 1

(f) Calculate the **excess supply** of tour guides if the quantity supplied during this three-month period was 6,000 (2,000 per month). You are advised to show your working.

(2)

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4. Question 1 · part g · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effects of an increase in the birth rate on the market for toys. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

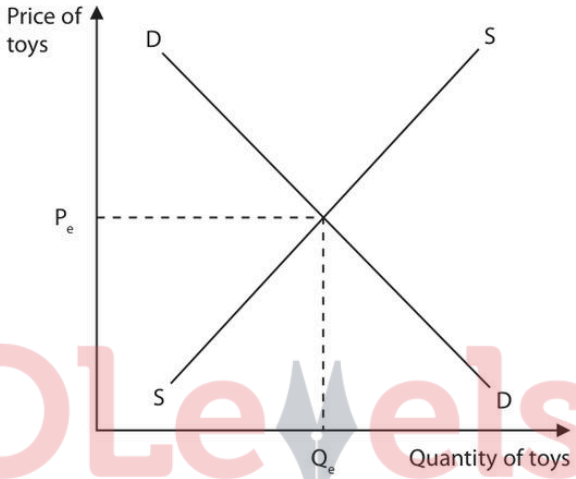


Figure 2

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4. Question 1 · part g · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part g only.

Virgin Atlantic took over a part of budget airline Flybe in the spring of 2019 to form Connect Airways.

(h) Explain **one** possible advantage for customers of Connect Airways from the takeover.

(3)

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4. Question 1 · part g · 3 marks · Working and answer

Working and answer

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5. Question 1 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following is the term for the next best alternative given up when a choice is made?

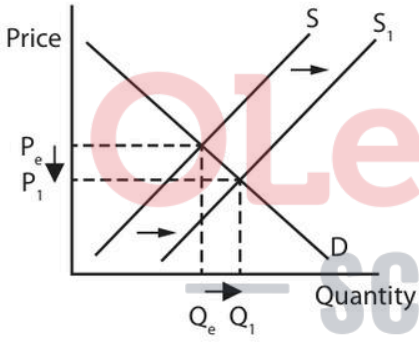
(1)

- ☒ **A** Business competition
- ☒ **B** Capital investment
- ☒ **C** Opportunity cost
- ☒ **D** Spare capacity

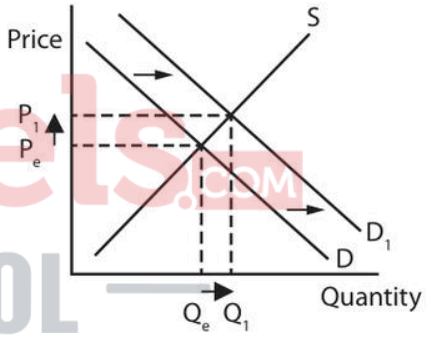
(b) Which **one** of the following options shows the effects on the market for motorcycle helmets after a fall in the price of motorcycles?

(1)

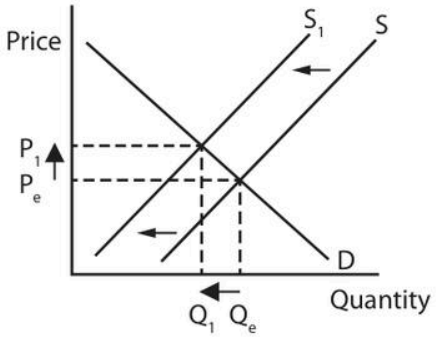
☒ **A**



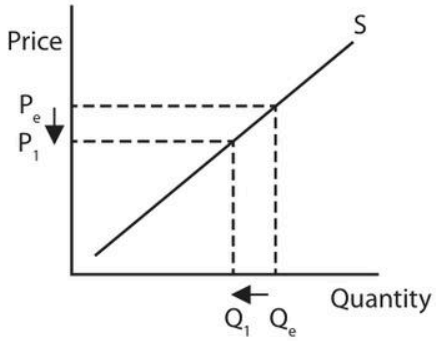
☒ **B**



☒ **C**



☒ **D**



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5. Question 1 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

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(c) What is meant by the term external costs?

(2)

(d) State **one** example of an external benefit.

(1)

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The problem of scarcity is that there are unlimited wants and finite resources.

(e) Define the term wants.

(1)

5. Question 1 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

Private facilities in which swimmers can change clothes are available at the swimming pool in Ciney, Belgium. The quantity demanded for these facilities during each of the first three months of 2019 is shown in Figure 1.

Month	Quantity of private facilities demanded
January	3,600
February	3,200
March	3,100

Figure 1

(f) Calculate the **excess demand** for private changing facilities for the first three months of 2019 if the quantity supplied during each month was 3,000 (9,000 in total). You are advised to show your working.

(2)

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5. Question 1 · part g · 3 marks

2020 NOV · Paper 01

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effects on the market for bread after a decrease in the population. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

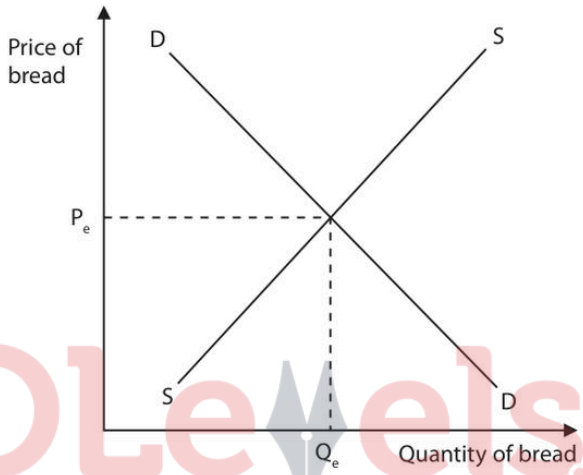


Figure 2

The music entertainment industry is dominated by a few main firms. These are BMG, EMI Group, Sony, Universal Music Group and Warner.

(h) Explain **one** possible barrier to entry a new firm might face when trying to enter this industry.

(3)

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5. Question 1 · part g · 3 marks · Working and answer

Working and answer

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6. Question 1 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following does a point on a production possibility curve (PPC) represent?

(1)

- ☒ **A** Where capital goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Government revenue from production
- ☒ **D** A given amount of resources being fully employed

Andreas is a plumber. Unlike his competitors, he is prepared to work at the weekend. However, he charges customers 50% more for his services at the weekend.

(b) Which **one** of the following describes this economic assumption?

(1)

- ☒ **A** Businesses aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers sometimes copy others' behaviour
- ☒ **D** Governments try to increase the number of days worked

(c) What is meant by the term economies of scale?

(2)

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6. Question 1 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

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(d) State **one** example of a factor of production that can be classified as land.

(1)

(e) Define the term monopoly.

(1)

Alfie provides a dog-walking service to dog owners in his local area. After a successful first year he increased prices by 1.5% and quantity demanded fell by 1.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Alfie's dog-walking service. You are advised to show your working.

(2)

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6. Question 1 · part g · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effects on the market for cars of the introduction of more effective technology in production. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

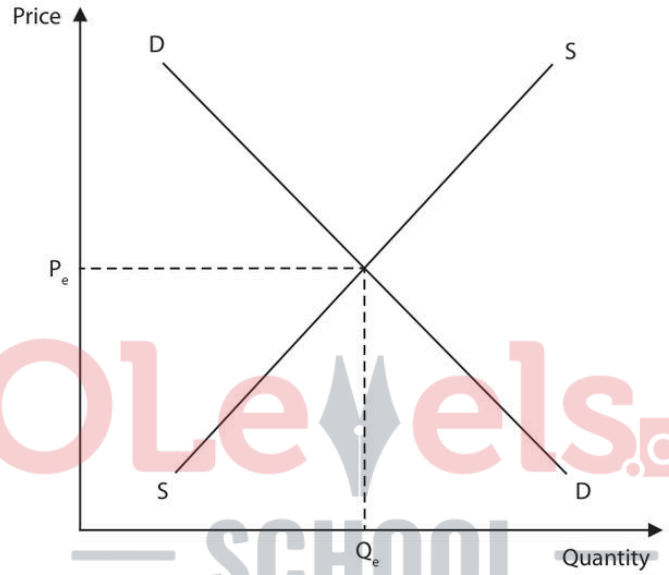


Figure 1

In 2015, the school-leaving age in England was raised from 16 to 18.

(h) Explain **one** possible effect on the supply of labour of the school-leaving age being raised.

(3)

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6. Question 1 · part g · 3 marks · Working and answer

Working and answer

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7. Question 1 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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7. Question 1 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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7. Question 1 · part g · 3 marks

2021 NOV · Paper 01

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effects on the market for smartphones following a rise in the cost of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

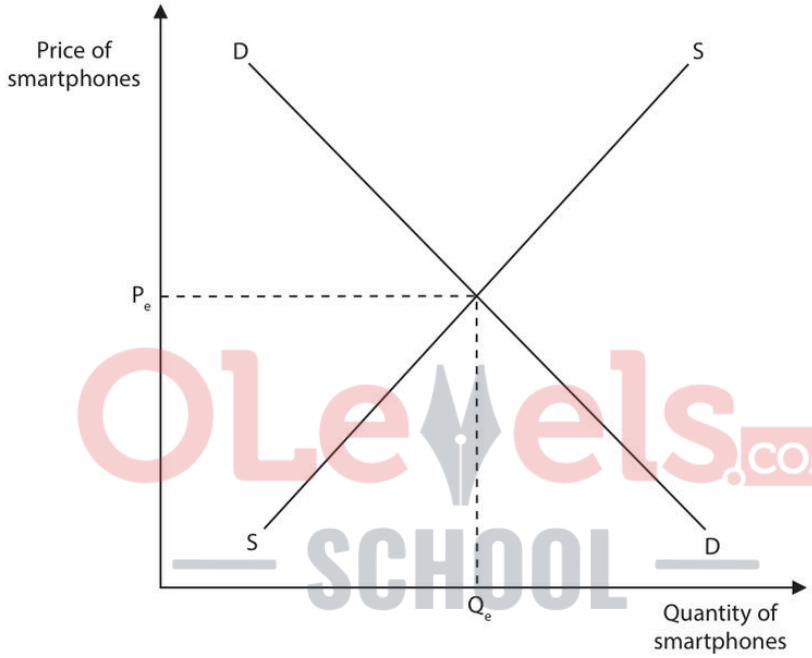


Figure 1

The New Zealand Government is to introduce new legislation to limit the interest rate firms can charge on loans made to customers. The maximum interest rate firms can charge will be 0.8% per day.

(h) Explain **one** reason why the New Zealand Government may be introducing this legislation.

(3)

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7. Question 1 · part g · 3 marks · Working and answer

Working and answer

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8. Question 1 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following is defined as 'breaking down the production process into smaller tasks'?

(1)

- ☒ **A** Division of labour
- ☒ **B** Innovation
- ☒ **C** Labour intensive
- ☒ **D** Productivity

A firm sells 40 units of a good. Variable costs are $4 per unit. Customers pay $10 per unit.

(b) Which **one** of the following equals $400?

(1)

- ☒ **A** Price
- ☒ **B** Total costs
- ☒ **C** Profit
- ☒ **D** Total revenue

(c) What is meant by the term inferior good?

(2)

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8. Question 1 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(d) State **one** reason why a demand curve will shift to the left.

(1)

(e) Define the term production.

(1)

Inny provides a window cleaning service to homeowners in his local area. He recently increased prices by 1.6% and quantity demanded fell by 2.1%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Inny's window cleaning service. You are advised to show your working.

(2)

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8. Question 1 · part g · 3 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effects on the market for crops after farmland is damaged by flooding. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

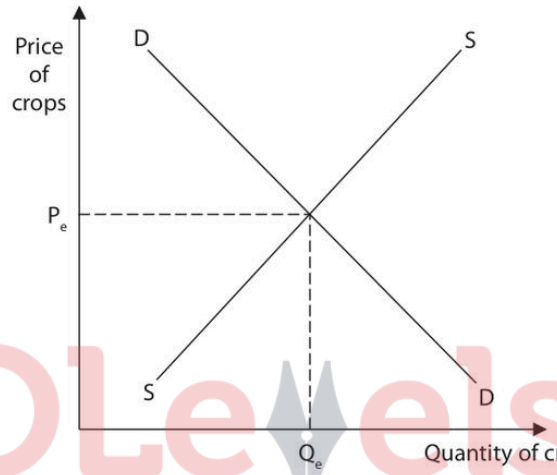


Figure 1

Tertiary sector employment has increased by 13.1% in China during the last 10 years. However, there have been few changes in the level of employment in the secondary sector.

(h) Explain **one** possible reason for this trend.

(3)

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8. Question 1 · part g · 3 marks · Working and answer

Working and answer

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9. Question 1 · part g · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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9. Question 1 · part g · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

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(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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9. Question 1 · part g · 3 marks

2022 JUN · Paper 01

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effects on the market for apples following a decrease in the price of bananas. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

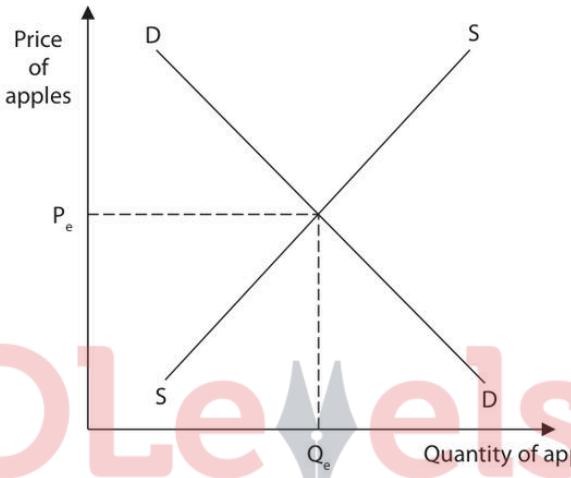


Figure 1

Warehouse employees at a small firm in Malta specialise in one task, such as sealing boxes, for orders that are sent to consumers.

(h) Explain **one** disadvantage of the division of labour for the warehouse employees.

(3)

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9. Question 1 · part g · 3 marks · Working and answer

Working and answer

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10. Question 1 · part g · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Water is an example of which factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Labour
- ☒ **C** Capital
- ☒ **D** Enterprise

(b) A firm has total costs of $700. It sells 300 items at a price of $20 each. What is the **profit** for the firm?

(1)

- ☒ **A** $5300
- ☒ **B** $6000
- ☒ **C** $13700
- ☒ **D** $14000

(c) What is meant by the term supply?

(2)

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10. Question 1 · part g · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(d) State **one** type of an external economy of scale.

(1)

(e) Define the term unique product.

(1)

Connor owns a hair salon. He increased prices by 2% and was willing to increase quantity supplied by 2.6%.

(f) Calculate the **price elasticity of supply (PES)** for Connor's hair salon. You are advised to show your working.

(2)

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10. Question 1 · part g · 3 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

(g) Using the diagram below, draw the likely effect on the market for luxury holidays after a fall in income. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

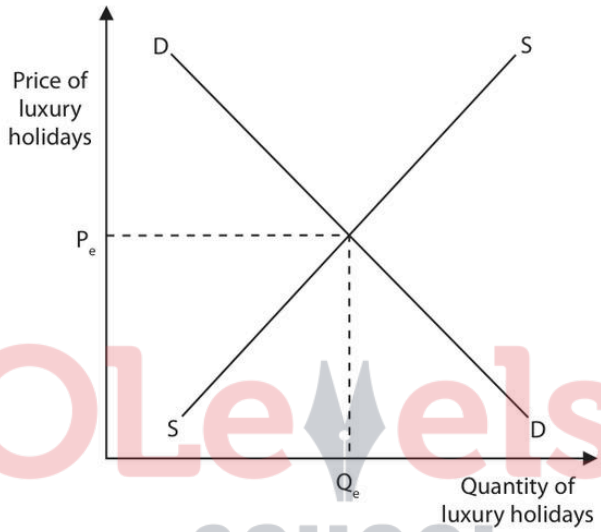


Figure 1

Government-owned Angola Telecom is to be privatised in an attempt to make the industry more efficient.

(h) Explain **one** possible disadvantage of privatisation for workers in the telecoms industry in Angola.

(3)

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10. Question 1 · part g · 3 marks · Working and answer

Working and answer

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

1 (a) What is the name given to a firm that manufactures cars?

(1)

- ☒ **A** A primary sector firm
- ☒ **B** A secondary sector firm
- ☒ **C** A tertiary sector firm
- ☒ **D** A service sector firm

A firm that employs 540 workers has a total monthly output of 27,000 units.

(b) What is the monthly labour productivity of the firm?

(1)

- ☒ **A** 0.02 units
- ☒ **B** 50 units
- ☒ **C** 27,540 units
- ☒ **D** 14,580,000 units

(c) What is meant by the term division of labour?

(2)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

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(d) State **one** factor of production.

(1)

(e) Define the term public sector.

(1)

Yusef paints portraits of tourists who visit his home town. He recently reduced the price he charges by 2.5% and quantity demanded increased by 3.2%.

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for Yusef's portraits. You are advised to show your working.

(2)

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11. Question 1 · part g · 3 marks

2023 JAN · Paper 01

Further practice · Attempt part g only.

Figure 1 shows the market for trainers.

(g) Using the diagram below, draw the likely effects on the market after a popular celebrity was seen wearing trainers. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

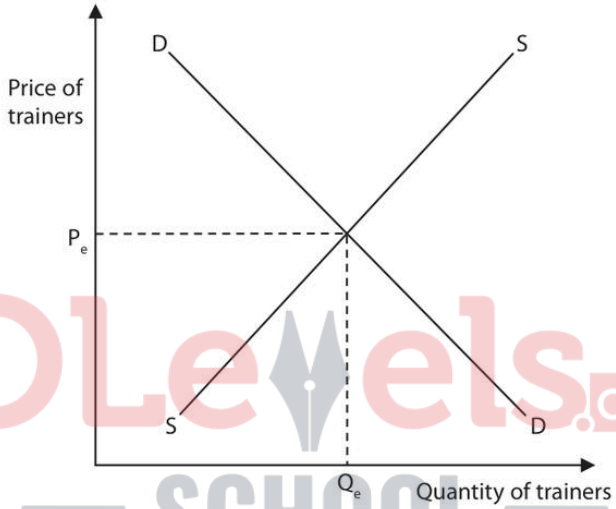


Figure 1

Spice Cottage is a new food producing business. Its prices are lower than market research suggests consumers would be willing to pay.

(h) Explain **one** reason why Spice Cottage may not aim to maximise its profit.

(3)

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11. Question 1 · part g · 3 marks · Working and answer

Working and answer

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12. Question 1 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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12. Question 1 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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12. Question 1 · part g · 3 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the market for mangoes.

(g) Using the diagram below, draw the likely effects on the market for mangoes after a study shows that eating them leads to an improvement in health. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

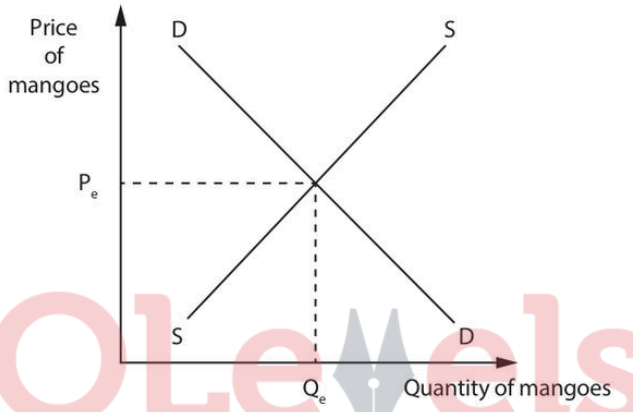


Figure 1

Christine runs a small cafe in New Zealand. She has many regular customers and has a reputation for serving large-sized meals, even though it means she makes less profit on each meal.

(h) Explain **one** possible reason why Christine serves large-sized meals.

(3)

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12. Question 1 · part g · 3 marks · Working and answer

Working and answer

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following might have caused the movement from PPF_1 to PPF_2 in Figure 1 above?

(1)

- ☒ **A** Negative economic growth
- ☒ **B** Positive economic growth
- ☒ **C** Diseconomies of scale
- ☒ **D** Economies of scale

(b) A firm has total costs of $10 000 and sells each item at a price of $100. It sells 200 items. What is the **profit or loss** for the firm?

(1)

- ☒ **A** $20 000 profit
- ☒ **B** $10 000 profit
- ☒ **C** $20 000 loss
- ☒ **D** $10 000 loss

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

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(c) What is meant by the term privatisation?

(2)

(d) State **one** reason why the government regulates competition in the economy.

(1)

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(e) Define the term congestion.

(1)

13. Question 1 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

Figure 2 shows some of the monthly production costs for a firm which makes furniture.

Production costs	€
Rent	30 000
Raw materials	16 500
Insurance	7 000
Labour (payment depends on output)	95 000

Figure 2

(f) Calculate the **total variable costs** for the firm each month. You are advised to show your working.

(2)

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13. Question 1 · part g · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part g only.

Figure 3 shows the market for apples.

(g) Using the diagram below, draw the likely effects on the market for apples following an increase in the advertising of apples. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

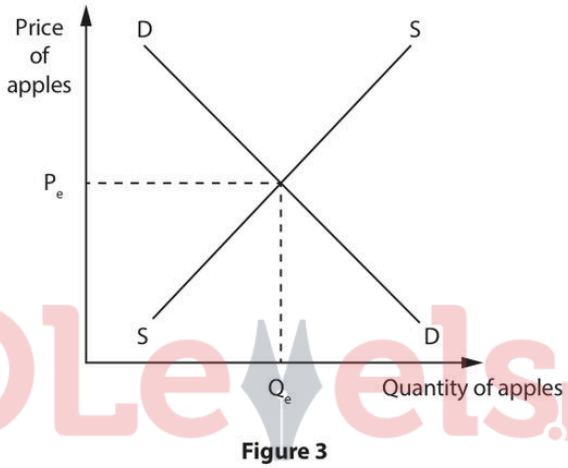


Figure 3

A firm produces tennis balls. There are a number of stages in the process of producing tennis balls. The firm uses division of labour in its factory.

(h) Explain **one** advantage of using division of labour for the firm.

(3)

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13. Question 1 · part g · 3 marks · Working and answer

Working and answer

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14. Question 1 · part g · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following values shows perfectly price inelastic supply?

(1)

- ☒ **A** 0
- ☒ **B** 0.5
- ☒ **C** 1
- ☒ **D** 2

(b) As a result of government policy, a firm had a decrease in its total costs of $200 each month. Which **one** of the following is the most likely type of government policy to produce this decrease in costs?

(1)

- ☒ **A** Fine
- ☒ **B** Regulation
- ☒ **C** Increased subsidy
- ☒ **D** Increased taxation

(c) What is meant by the term private sector?

(2)

(d) State **one** factor that may affect the supply of labour.

(1)

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14. Question 1 · part g · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(e) Define the term government.

(1)

(f) Calculate, to two decimal places, the **income elasticity of demand (YED)** for a good if income increases by 6.2% and quantity demanded increases by 1.7%. You are advised to show your working.

(2)

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14. Question 1 · part g · 3 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the market for tennis balls.

(g) Using the diagram below, draw the likely effects on the market for tennis balls after a fall in the price of tennis rackets. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

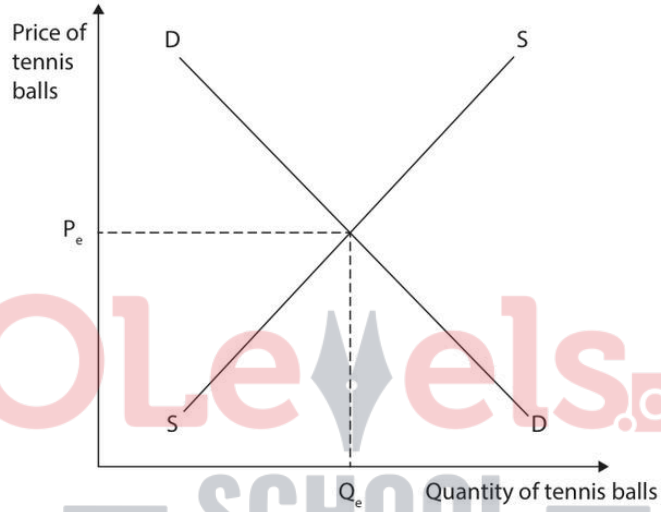


Figure 1

A firm has decided to purchase a new delivery vehicle.

(h) Explain **one** possible opportunity cost for the firm of this decision.

(3)

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14. Question 1 · part g · 3 marks · Working and answer

Working and answer

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15. Question 1 · part g · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

1 (a) Which **one** of the following is a definition of opportunity cost?

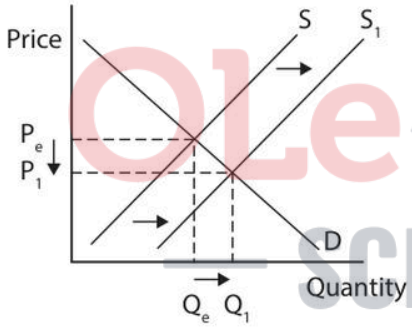
(1)

- ☒ **A** Rivalry that exists between firms
- ☒ **B** Investment in capital goods
- ☒ **C** The next best alternative given up
- ☒ **D** Unused resources

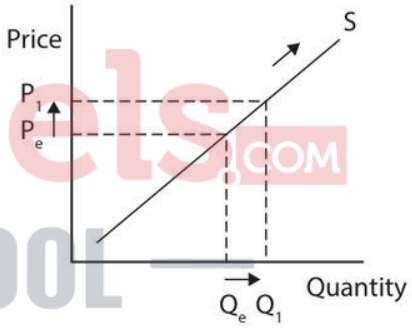
(b) Which **one** of the following diagrams shows the likely effect on the market for cars after an increase in subsidies to car manufacturers?

(1)

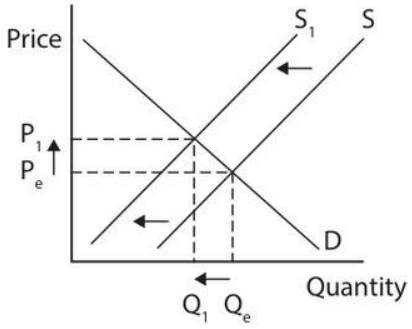
☒ **A**



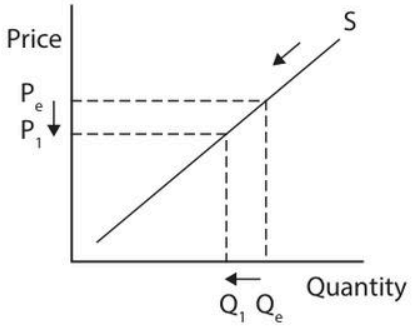
☒ **B**



☒ **C**



☒ **D**



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15. Question 1 · part g · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

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(c) What is meant by the term external benefit?

(2)

(d) State **one** example of an external cost.

(1)

(e) Define the term takeover.

(1)

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15. Question 1 · part g · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for a good if price decreases by 9.4% and quantity supplied decreases by 3.7%. You are advised to show your working.

(2)

Figure 1 shows the market for rice.

(g) Using the diagram below, draw the likely effect of an increase in the population on the market for rice. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

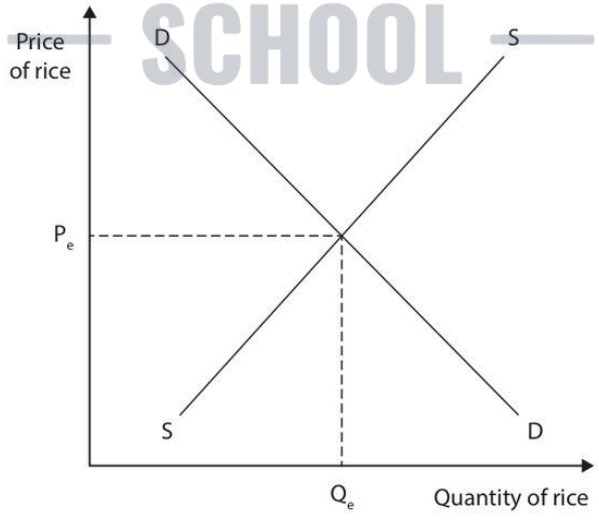


Figure 1

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15. Question 1 · part g · 3 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

Six months after the price for a soft drink increased, its price elasticity of demand (PED) changed from –1.5 to –2.0.

(h) Explain **one** reason why demand for a product, such as a soft drink, usually becomes more price elastic over time.

(3)

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15. Question 1 · part g · 3 marks · Working and answer

Working and answer

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16. Question 1 · part g · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

1 (a) Which **one** of the following can represent a point on a production possibility curve (PPC)?

(1)

- ☒ **A** Where consumer goods should be produced
- ☒ **B** How the production of all goods can be increased
- ☒ **C** Total revenue from production
- ☒ **D** Production which is obtainable

On one day a month, a firm charges each customer a price of $10 for providing one hour of gardening services. The cost to the firm for providing the service to each customer is $15.

(b) Which **one** of the following describes why the firm might do this?

(1)

- ☒ **A** Producers aim to maximise their profit
- ☒ **B** Producers may complete charitable work
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers sometimes copy others' behaviour

(c) What is meant by the term economies of scale?

(2)

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2

P 7 2 1 3 3 A 0 2 2 4

16. Question 1 · part g · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(d) State **one** example of an item that can be classified as capital.

(1)

(e) Define the term price-maker.

(1)

(f) Calculate, to two decimal places, the **price elasticity of demand (PED)** for a good if the price decreases by 4.7% and the quantity demanded increases by 1.8%. You are advised to show your working.

(2)

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16. Question 1 · part g · 3 marks

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part g only.

Figure 1 shows the market for smartphones.

(g) Using the diagram below, draw the likely effect on the market for smartphones following an increase in productivity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

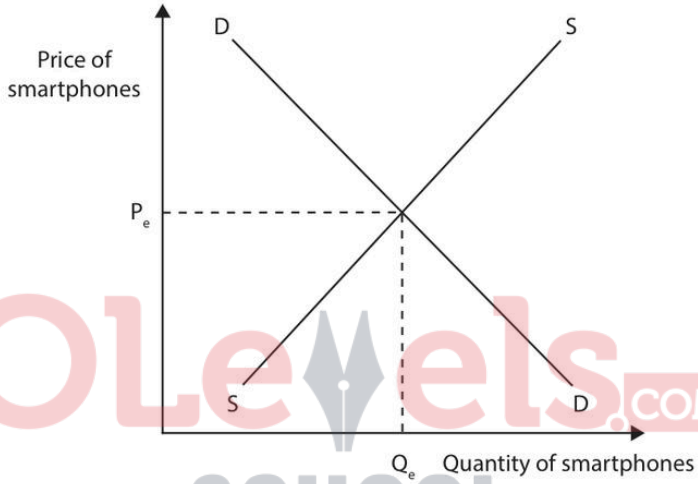


Figure 1

In 2023, the French Government increased the age at which people could receive a state pension to 64.

(h) Explain **one** possible effect of this change in the pension age on the supply of labour.

(3)

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16. Question 1 · part g · 3 marks · Working and answer

Working and answer

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17. Question 1 · part g · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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17. Question 1 · part g · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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17. Question 1 · part g · 3 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

Figure 1 shows the market for cars.

(g) Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

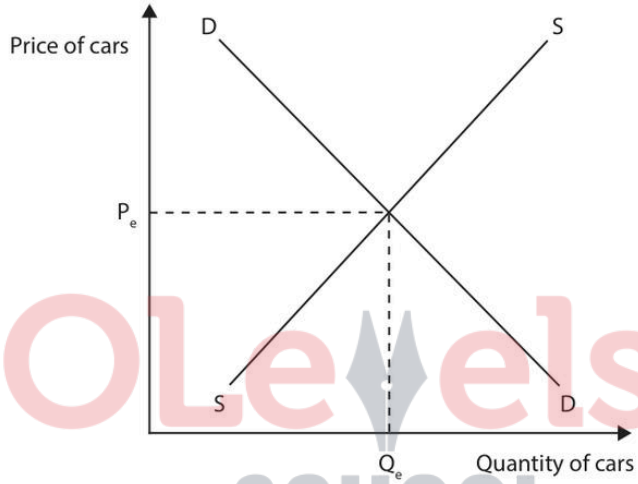


Figure 1

In April 2023, the Competition and Markets Authority (CMA), the competition regulator in the UK, prevented the purchase of Activision by Microsoft. Microsoft already controlled about 60–70% of the market for online video gaming.

(h) Explain **one** reason why the CMA may have made this decision.

(3)

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P 7 2 1 3 2 A 0 4 2 4

17. Question 1 · part g · 3 marks · Working and answer

Working and answer

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18. Question 1 · part g · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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18. Question 1 · part g · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

18. Question 1 · part g · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part g only.

Figure 2 shows the market for radios.

(g) Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

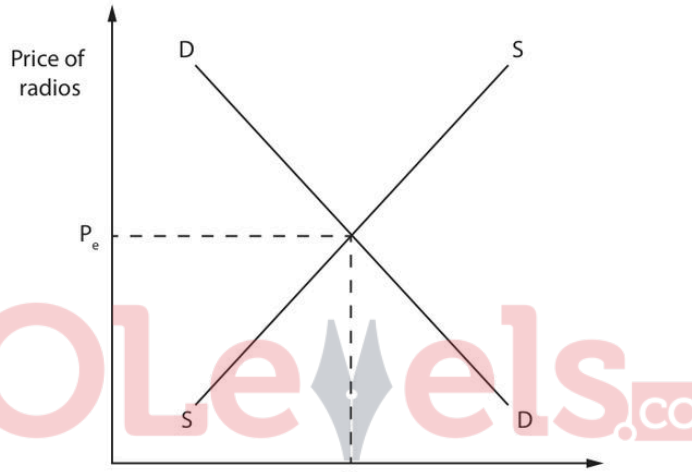


Figure 2

A study in the US concluded that mergers of pharmaceutical firms often benefit consumers.

(h) Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.

(3)

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18. Question 1 · part g · 3 marks · Working and answer

Working and answer

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Practice workbook · Draw a shift in a labour market diagram

Using a labour supply and demand diagram to show a shift and the new equilibrium wage and quantity of workers.

4 question parts: 1 worked-example retry and 3 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-19

1. Question 3 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

3 (a) Which **one** of the following is defined as 'the selling of an enterprise controlled by the government to the private sector'?

(1)

- ☒ **A** Reclamation
- ☒ **B** Innovation
- ☒ **C** Nationalisation
- ☒ **D** Privatisation

(b) Which **one** of the following is an example of an occupation in the primary sector?

(1)

- ☒ **A** Teacher
- ☒ **B** Farmer
- ☒ **C** Electrician
- ☒ **D** Actor

(c) On the diagram below, draw the effects of an increase in the school-leaving age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

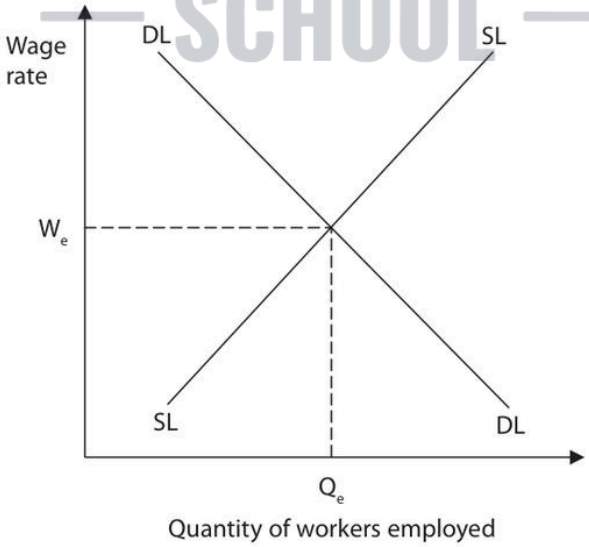


Figure 3

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1. Question 3 · part c · 3 marks

2022 JUN · Paper 01

Worked-example retry · Attempt part c only.

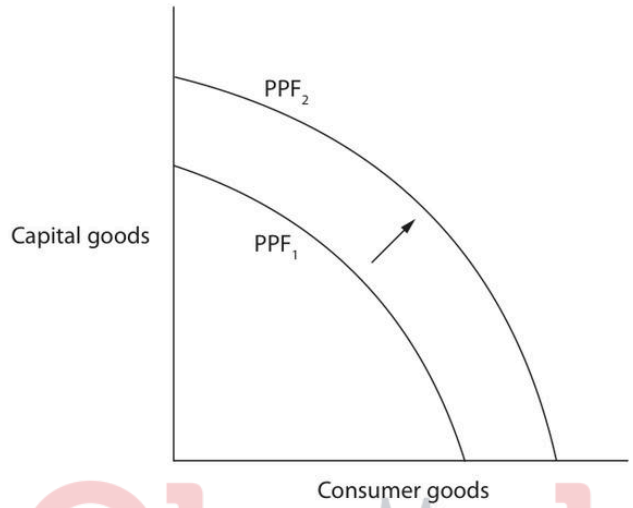


Figure 4

Figure 4 shows an outward shift in the production possibility frontier (PPF) for Zambia in 2019. Agriculture, construction and copper production are some of the main areas that contribute to the economy of Zambia.

(d) With reference to the data above and your knowledge of economics, analyse why the economy has moved from PPF_1 to PPF_2.

(6)

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14

1. Question 3 · part c · 3 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 3 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

3 (a) Which **one** of the following can be described as an advantage to a small firm?

(1)

- ☒ **A** Access to many sources of finance
- ☒ **B** Flexibility
- ☒ **C** Market domination
- ☒ **D** Risk spreading

(b) Which **one** of the following options describes a price elasticity of supply (PES) of 0.7?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

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2. Question 3 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) Using the diagram below, draw the effects of an increase in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

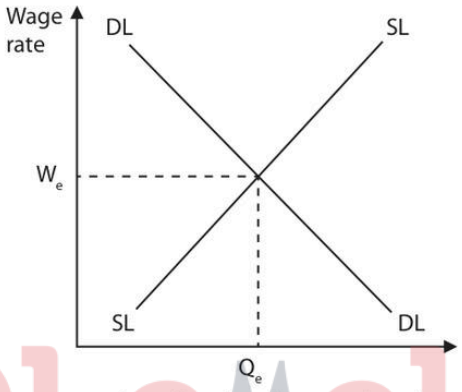


Figure 5

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2. Question 3 · part c · 3 marks

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c only.

An investigation has taken place in the US to determine whether a number of pharmaceutical firms used collusion to divide sales between themselves so each firm received higher profits. One example of the price fixing meant a tablet sold for $4.70 when the price should have been $0.13. The firms have rejected the accusations, saying there is a lack of evidence to prove anti-competitive behaviour.

(Source adapted from: https://www.washingtonpost.com/business/economy/investigation-of-generic-cartel-expands-to-300-drugs/2018/12/09/fb900e80-f708-11e8-863c-9e2f864d47e7_story.html?noredirect=on&utm_term=.3c2a12983985)

(d) With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms.

(6)

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16

P 6 2 6 4 1 R A 0 1 6 2 8

2. Question 3 · part c · 3 marks · Working and answer

Working and answer

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3. Question 3 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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3. Question 3 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

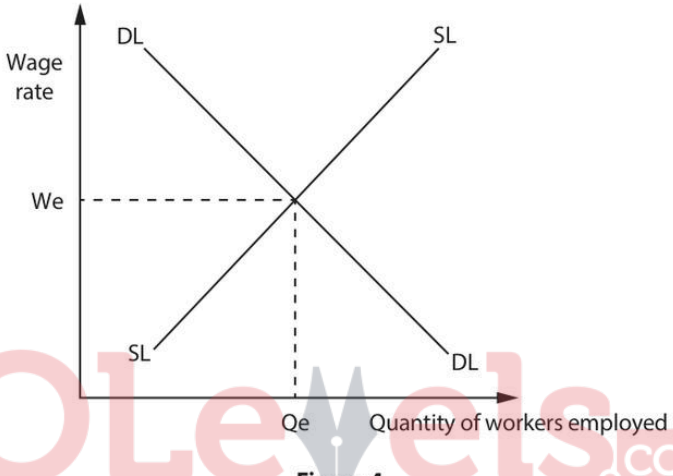


Figure 4

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3. Question 3 · part c · 3 marks

2023 JUN · Paper 01

Further practice · Attempt part c only.

Studies have shown that there are a number of negative impacts from spending too much time using a mobile phone. These include pain in the thumbs, loss of sleep and anxiety. Despite this, it is not unusual for people to spend a lot of time using their phone, even in the presence of others.

(d) With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone.

(6)

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3. Question 3 · part c · 3 marks · Working and answer

Working and answer

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4. Question 3 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

3 (a) Which **one** of the following may be a reason why a firm stays small?

(1)

- ☒ **A** Ability to take over competitors
- ☒ **B** Access to many sources of finance
- ☒ **C** Ability to spread risk
- ☒ **D** Aims of the entrepreneur

(b) Which **one** of the following describes a price elasticity of supply (PES) of 1.5?

(1)

- ☒ **A** Perfectly price elastic
- ☒ **B** Perfectly price inelastic
- ☒ **C** Price elastic
- ☒ **D** Price inelastic

Figure 5 shows the labour market for a country.

(c) Using the diagram below, draw the effect of a decrease in the school-leaving age on the labour market in this country. Label the new curve, the new equilibrium wage rate and the new quantity of workers.

(3)

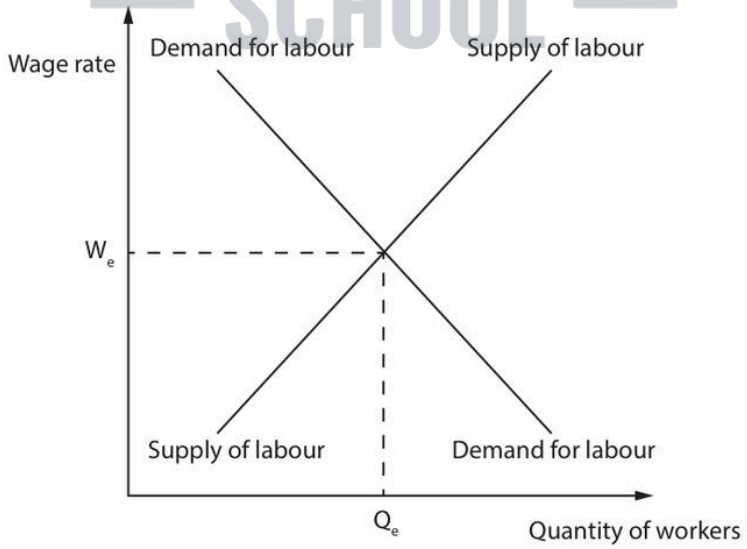


Figure 5

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P 7 8 9 5 6 A 0 1 2 2 4

4. Question 3 · part c · 3 marks

2025 NOV · Paper 01

Further practice · Attempt part c only.

The price of olive oil peaked in the summer of 2024, averaging €10 000 per tonne. It is expected to fall to between €4 000 and €5 000 per tonne in 2025.

Some of the main areas where olive oil is produced are located in Greece, Spain and Tunisia. All are set for improved harvests of olives, after years of heatwaves and droughts causing a fall in the harvest. Better weather means Greece is expected to produce 230,000 tonnes in the 2025 season, up from 130,000 tonnes the previous year. While Spain and Tunisia are also forecasting large increases in production.

(d) With reference to the data above and your knowledge of economics, analyse how natural factors, such as favourable weather conditions, may affect the market for olive oil in 2025.

(6)

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4. Question 3 · part c · 3 marks · Working and answer

Working and answer

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